Table of Contents

121560739 4/22/2026	2Q26 EPS Beats, Upbeat Commentary on Demand. Reiterate Buy, PT raised to $188. BTIG Top Pick BTIG	2 - 12
121559546 4/22/2026	DHI Model Update Oppenheimer & Co., Inc. Mr. Tyler Batory	13 - 18
121544081 4/21/2026	DHI - FY2Q Earnings Recap; Stock Up Notably As Results And Guidance Did Not See Substantial Deterioration Truist Securities Jonathan Bettenhausen	19 - 26
121538198 4/21/2026	D.R. Horton Inc. (DHI): F2Q26 Recap: Strategic Execution Supports Profitability, With Upside Should Volumes Recover Goldman Sachs Ms. Susan M. Maklari	27 - 35
121536191 4/21/2026	F2Q26 Recap: Demand Trends Appear More Robust than Expected, Raising EPS Estimates Citizens Mr. Aaron Hecht	36 - 47

HOUSING AND REAL ESTATE SERVICES EQUITY RESEARCH

BTIG

D.R. Horton, Inc. (DHI, Buy, $188 PT)

April 22, 2026

Ryan Gilbert
(212) 527-3524 rgilbert@btig.com

2Q26 EPS Beats, Upbeat Commentary on Demand. Reiterate Buy, PT raised to $188. BTIG Top Pick

WHAT YOU SHOULD KNOW: DHI reported 2Q26 EPS of $2.24 vs. our $2.14 est. and consensus $2.13. Better-than-expected gross margin drove the beat to our estimate, offsetting lighter revenue. Vertical construction efficiencies and flat incentives contributed to the gross margin beat. Orders increased +11% y/y vs. our +5% on better absorption off a relatively easy comp. DHI characterized housing demand as "good" with normal seasonality through the quarter and mid-April. The commentary was a positive surprise given our survey and NAHB HMI indicated a March pullback in demand. Better demand, as well as DHI's ability to drive construction costs down, contributed to a 3Q26 gross margin guide that equates to flat to q/q improvement – also better than expected. DHI was an early-mover reducing spec count, especially finished specs which declined -30% y/y in 1Q26 and -35% y/y in 2Q26, which we believe helped the company hold the line on incentives. We also believe DHI's newer, less competitive smaller markets contributed. DHI's spec position and broad geographic footprint could limit readthroughs to the rest of the group. Overall, a solid quarter and we are increasing our PT to $188 from $182 and reiterating our Buy rating.

- **Revenue, orders, and backlog.** 2Q26 home sales revenue of $7.0B decreased -2% y/y and missed our $7.2B est. Deliveries increased +1% y/y to 19,486 and missed our 19,908 est and the guide of 19,700-20,200. ASP declined -3% y/y to 362K vs. our $362K est. Orders increased +11% y/y on a +11% y/y increase in communities and flat absorption. 2Q26 backlog of 16,882 homes increased +19% y/y well ahead of our 15,128 est. on better orders and lighter deliveries.
- **Margins.** 2Q26 gross margin of 20.1% declined -170 bps y/y but beat our 19.3% est. and the 19.0-19.5% guide. Gross margin included a 40 bps warranty and litigation benefit, ex the benefit gross margin was 19.7%. SG&A/Sales expanded 30 bps y/y to 9.2% due to operating deleverage from lower revenue and was in-line with our 9.2% est. Homebuilding operating margin declined -220 bps y/y to 10.6% but beat our 10.0% est. on better gross margin.
- **3Q26 and FY26 guides.** DHI trimmed the high end of the FY26 delivery guide by 60 bps and the consolidated revenue guide by -1% and introduced a 3Q26 guide. The 3Q26 consolidated revenue guide of $8.8-9.3B, deliveries of 23,500-24,000, gross margin of 19.7-20.2%, and pre-tax margin of 12.2-12.7% were all better than we expected. The gross margin guide implies flat to +50 bps q/q ex. the benefit in 2Q26, which DHI attributed to stable incentives as a percent of revenue (~10%) and lower stick and brick costs (-2% q/q) offsetting higher but moderating land costs.
- **Inventory, starts, and controlled lots.** DHI ended 2Q26 with 22,900 unsold specs, of which 5,500 were finished. Total spec count is down -11% y/y and completed specs are -35% y/y. Cycle times are down by a month on a y/y basis, enabling lower inventory and an ability to offer rate buydowns earlier in the construction process. Starts increased +36% y/y and are +21% YTD vs. total US single family starts tracking down mid-to high single digits. DHI expects 3Q26 starts to be flat y/y. Controlled lots declined -3% y/y to 575.3K, but years of supply is flat y/y and q/q at 6.9 years.
- **Estimate revisions.** We are increasing FY26 EPS to $10.94 from $10.92 and trimming FY27 by -4% to $12.69 from $13.27 on tempered gross and op margin ests.
- **Valuation:** Our $188 PT values DHI at 2.3x 2Q26 TBVPS of $81.51.

Company Data	
Closing Price	$162.20
Price Target	$188.00
Market Cap (M)	$46,875.80
Enterprise Value (M)	$50,612.93
Shares Out (M)	289.00
Avg Daily Vol-3 Months (M)	2.9
Dividend / Yield	$1.80 / 1.1%

Revisions	Previous	Current
Rating	Buy	Buy
Price Target	$182.00	$188.00
FY26E Sales	31,757.11	31,516.03
FY27E Sales	33,745.56	33,832.56
FY26E EPS	10.92	10.94
FY27E EPS	13.27	12.69

Home Sales Revenue			
FY Sep	2025A	2026E	2027E
Q1	7,146.00	6,512.70**A**	6,956.80
Q2	7,180.90	7,045.50**A**	7,554.35
Q3	8,561.00	8,540.86	9,309.90
Q4	8,544.00	9,416.97	10,011.51
FY Sales	**31,431.90**	**31,516.03**	**33,832.56**

Diluted EPS (Adjusted)			
FY Sep	2025A	2026E	2027E
Q1	2.61	2.03**A**	2.14
Q2	2.58	2.24**A**	2.53
Q3	3.36	2.99	3.66
Q4	3.04	3.70	4.40
FY EPS	**11.57**	**10.94**	**12.69**
FY P/E	14.0x	14.8x	12.8x

Source: FactSet, BTIG Estimates and Company Documents reported as $ currency.
FY = Fiscal Year **CY** = Calendar Year

BTIG

Investment Thesis

We believe DHI's spec production model, deep local market share, broad geographic footprint, and land-light balance sheet can drive earnings and ROE outperformance through the cycle. We expect FY26 to be another weak year for housing demand, but we see opportunities for DHI to outperform. Additionally, we see DHI as among the most levered to a "Goldilocks" upside scenario. Current PTB valuation of 2.0x is not cheap, but we believe relative outperformance and progress toward a higher ROE can drive multiple expansion in FY26. BTIG Top Pick.

Upcoming Catalysts

- Quarterly results demonstrate better-than-feared order growth and margin compression
- Our proprietary monthly homebuilder survey can provide insights on demand trends
- Interest rate fluctuations and Federal Reserve monetary policy will likely continue to impact the shares

Base Case Assumptions: **$188 Price Target**

- FY26 housing demand remains relatively weak driven by affordability challenges, elevated inventory, and a supply/demand mismatch
- FY26 orders grow +7% as DHI scales new markets, but revenue decreases -0.5% y/y and operating margin compresses 140 bps

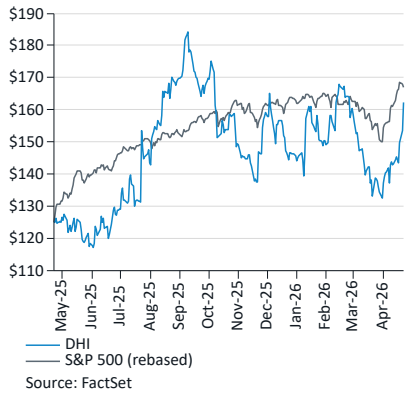
Upside Scenario: **$212/sh**

- Lower mortgage rates drives a rebound in demand and DHI is able to reduce incentives including mortgage buydowns
- In this scenario, DHI could drive delivery growth of +10% y/y, ASP +5%, and EPS +34% as margins expand and results in the ancillary business lines improve
- We believe DHI could trade to 2.6x 2Q26 TBVPS yielding a $212 fair value

Downside Scenario: **$113/sh**

- Higher interest rates lead to weaker housing demand, leading to lower volume and higher incentives
- In this scenario, deliveries decline by -10%, ASP by -5% and EPS declines -33% y/y as margins compress
- We believe DHI could trade at 1.4x 2Q26 TBPVS yielding a $113 fair value

Price Performance



Source: FactSet

Company Description

D.R. Horton was the largest homebuilder in the U.S. by unit volume in 2025, delivering 84,863 homes at an average selling price of $370K. DHI currently builds across the industry's broadest footprint (36 states and 126 metro markets) primarily in Sunbelt markets as well as the Northwest, Midwest and East regions. DHI concentrates on entry-level and first-time move-up price points. DHI was founded in 1978 and is headquartered in Arlington, TX.

BTIG

Exhibit 1 - DHI 2Q26 Results vs. BTIG, Consensus, and 2Q25

Metric	Consensus	BTIG E	Actual	2Q25	YOY	Guidance
Total Revenue	$7,550.0	$7,634.8	$7,558.1	$7,734.0	*(2.3)%*	$7.3-$7.8B
Home Sales Revenue (M)	$7,198.7	$7,203.5	$7,045.5	$7,180.9	*(1.9)%*	
EPS	$2.13	$2.14	$2.24	$2.58	*(13.1)%*	
Order Growth	5.1%	5.5%	11.4%	-15.2%		
Gross Margin	19.1%	19.3%	20.1%	21.8%	*(170) bp*	19.0-19.5%
SG&A/Sales Ratio	10.1%	9.2%	9.2%	8.9%	*30 bp*	
Orders (Units)	23,583	23,660	24,992	22,437	*11.4%*	
Orders ASP (000s)	$361.6	$363.2	$366.3	$372.5	*(1.7)%*	
Deliveries (Units)	19,941	19,908	19,486	19,276	*1.1%*	19,700-20,200
Deliveries ASP (000s)	$361.0	$361.8	$361.6	$372.5	*(2.9)%*	
Backlog Conversion (Units)	175.3%	175.0%	171.3%	175.2%	*(390) bp*	
Backlog Conversion ($)	166.9%	167.0%	163.3%	167.0%	*(370) bp*	
Backlog	15,007	15,128	16,882	14,164	*19.2%*	
Backlog ASP (000s)	$379.2	$377.0	$380.4	$386.7	*(1.6)%*	
FS Pre-tax Income	$66.9	$66.5	$51.7	$73.0	*(29.2)%*	
FOR Pre-tax Income	$34.1	$33.3	$45.5	$36.3	*25.3%*	
Rental and Other Pre-tax income	$9.0	$0.0	$12.3	$22.8	*(46.1)%*	
Consolidated Pretax Margin	11.0%	10.9%	11.5%	13.8%	*(230) bp*	10.6-11.1%
Tax Rate	NA	24.5%	24.1%	23.2%	*90 bp*	24.0-24.5%
Share Repurchases (M)	NA	$625.0	$903.6	$1,300.0	*(30.5)%*	

Source: Company Filings, BTIG Research, FactSet

Exhibit 2 - 3Q26 and FY26 Guidance Relative to New and Prior BTIG Estimates

Metric	3Q26			FY26			
	Guidance	New BTIG Est.	Prior BTIG Est.	New Guidance	Prior Guidance	New BTIG Est.	Prior BTIG Est.
Consolidated Revenue	$8.8-$9.3B	$9,230.1	$8,821.9	$33.5-34.5B	$33.5B-$35.0B	$34,074.4	$34,275.2
Deliveries	23,500-24,000	23,635	22,692	86,000-87,500	86,000-88,000	87,210	87,717
Gross Margin	19.7 - 20.2%	20.0%	19.3%	NA	NA	20.1%	19.8%
Consolidated Pre-tax Margin	12.2-12.7%	12.6%	11.9%	NA	NA	12.5%	12.4%
Tax Rate	NA	24.5%	24.5%	24.50%	24.50%	24.5%	24.5%
Share Repurchases	NA	$450.0	$625.0	$2.5B	$2.5B	$2,549.8	$2,524.2
OCF	NA	$649.9	$610.1	$3.0B+	$3.0B+	$3,179.7	$3,370.3

Source: Company Filings, BTIG Research

BTIG

Exhibit 3 - Estimate Revisions Table

	2025	3Q26E			2026E			2027E			Y/Y Growth	
	Actual	New	Prior	Change	New	Prior	Change	New	Prior	Change	2026	2027
Revenue Inputs												
Deliveries	84,863	23,635	22,692	4%	87,210	87,717	-1%	93,603	93,165	0%	*2.8%*	*7.3%*
Average selling price	$370.4	$361.4	$359.4	1%	$361.4	$362.0	0%	$361.4	$362.2	0%	*-2.4%*	*0.0%*
Average order price	$368.7	$359.6	$359.6	0%	$362.8	$362.1	0%	$361.8	$364.5	-1%	*-1.6%*	*-0.3%*
Margin Inputs												
Gross margin	21.5%	20.0%	19.3%	70 bp	20.1%	19.8%	30 bp	20.3%	20.6%	(40) bp	*(140) bp*	*20 bp*
SG&A/Sales	8.3%	8.0%	8.3%	(30) bp	8.5%	8.4%	10 bp	8.2%	8.1%	20 bp	*10 bp*	*(20) bp*
Order Growth Inputs												
Avg community growth	11.3%	10.0%	10.0%	0 bp	10.3%	10.3%	0 bp	5.8%	5.8%	0 bp	*(100) bp*	*(450) bp*
Absorption growth	-12.6%	-2.0%	-5.0%	300 bp	-3.3%	-5.6%	230 bp	1.3%	3.1%	(190) bp	*930 bp*	*450 bp*
Order growth	-3.6%	7.8%	4.5%	330 bp	6.9%	4.2%	280 bp	6.9%	9.1%	(220) bp	*1050 bp*	*0 bp*
Income Statement												
Home sales revenue	31,431.9	8,540.9	8,156.4	5%	31,516.0	31,757.1	-1%	33,832.6	33,745.6	0%	*0.3%*	*7.4%*
Cost of sales	24,664.8	6,832.7	6,582.2	4%	25,186.3	25,484.9	-1%	26,981.2	26,790.4	1%	*2.1%*	*7.1%*
Gross profit	**6,767.1**	**1,708.2**	**1,574.2**	**9%**	**6,329.7**	**6,272.2**	**1%**	**6,851.3**	**6,955.1**	**-1%**	***-6.5%***	***8.2%***
SG&A	2,622.9	683.3	672.9	2%	2,670.9	2,660.0	0%	2,788.5	2,721.4	2%	*1.8%*	*4.4%*
Homes sales operating income	**4,144.2**	**1,024.9**	**901.3**	**14%**	**3,658.8**	**3,612.1**	**1%**	**4,062.8**	**4,233.8**	**-4%**	***-11.7%***	***11.0%***
Other expense, net	9.3	6.6	4.6	43%	13.0	(9.0)	-245%	(13.5)	(22.3)	-39%	*40.0%*	*-204.0%*
Homebuilding pre-tax income	**4,134.9**	**1,018.3**	**896.7**	**14%**	**3,645.8**	**3,621.1**	**1%**	**4,076.4**	**4,256.1**	**-4%**	***-11.8%***	***11.8%***
Other operating segment pre-tax income	**605.0**	**140.4**	**154.2**	**-9%**	**596.5**	**614.4**	**-3%**	**645.9**	**656.1**	**-2%**	***-1.4%***	***8.3%***
Total pre-tax income	**4,739.9**	**1,158.8**	**1,050.8**	**10%**	**4,242.3**	**4,235.5**	**0%**	**4,722.2**	**4,912.2**	**-4%**	***-10.5%***	***11.3%***
Income tax expense	1,119.0	283.9	257.5	10%	1,037.4	1,038.9	0%	1,156.9	1,203.5	-4%	*-7.3%*	*11.5%*
Net income	**3,620.9**	**874.9**	**793.4**	**10%**	**3,204.9**	**3,196.6**	**0%**	**3,565.3**	**3,708.7**	**-4%**	***-11.5%***	***11.2%***
Noncontrolling interest	(35.7)	(15.8)	(14.0)	13%	(48.9)	(46.9)	4%	(49.1)	(48.8)	1%	*37.1%*	*0.3%*
Net income to DHI	**3,585.2**	**859.0**	**779.4**	**10%**	**3,155.9**	**3,149.7**	**0%**	**3,516.2**	**3,659.9**	**-4%**	***-12.0%***	***11.4%***
Diluted EPS	**$11.57**	**$2.99**	**$2.72**	**10%**	**$10.94**	**$10.92**	**0%**	**$12.69**	**$13.27**	**-4%**	***-5.4%***	***16.0%***

Source: Company Filings, BTIG Research

BTIG

D. R. HORTON, INC. (DHI)

FISCAL YEAR ENDS SEPTEMBER	2023	Dec	Mar	Jun	Sep	2024	Dec	Mar	Jun	Sep	2025	Dec	Mar	Jun	Sep	2026	Dec	Mar	Jun	Sep	2027
INCOME STATEMENT ($M)	**FY**	Q1	Q2	Q3	Q4	**FY**	Q1	Q2	Q3	Q4	**FY**	Q1	Q2	Q3E	Q4E	**FYE**	Q1E	Q2E	Q3E	Q4E	**FYE**
Home Closings Revenue	31,642.0	7,276.4	8,466.7	9,231.2	8,929.4	33,903.7	7,146.0	7,180.9	8,561.0	8,544.0	31,431.9	6,512.7	7,045.5	8,540.9	9,417.0	31,516.0	6,956.8	7,554.3	9,309.9	10,011.5	33,832.6
Land Closings Revenue	102.3	20.3	6.9	10.3	20.7	58.2	21.2	22.0	19.8	20.4	83.4	16.2	17.7	17.1	18.8	69.8	13.9	15.1	18.6	20.0	67.7
Homebuilding Revenue	**31,744.3**	**7,296.7**	**8,473.6**	**9,241.5**	**8,950.1**	**33,961.9**	**7,167.2**	**7,202.9**	**8,580.8**	**8,564.4**	**31,515.3**	**6,528.9**	**7,063.2**	**8,557.9**	**9,435.8**	**31,585.8**	**6,970.7**	**7,569.5**	**9,328.5**	**10,031.5**	**33,900.2**
Total Cost of Homebuilding Revenue	24,316.9	5,626.7	6,522.9	7,035.5	6,876.0	26,061.1	5,547.6	5,647.1	6,760.5	6,903.9	24,859.1	5,205.5	5,667.5	6,871.4	7,583.1	25,327.4	5,593.5	6,061.8	7,454.9	7,985.2	27,095.4
Homebuilding Gross Profit	**7,427.4**	**1,670.0**	**1,950.7**	**2,206.0**	**2,074.1**	**7,900.8**	**1,619.6**	**1,555.8**	**1,820.3**	**1,660.5**	**6,656.2**	**1,323.4**	**1,395.7**	**1,686.6**	**1,852.7**	**6,258.4**	**1,377.2**	**1,507.7**	**1,873.6**	**2,046.4**	**6,804.9**
Selling, General, and Administrative Expenses	2,239.9	603.4	614.1	656.5	679.3	2,553.3	636.6	637.8	670.0	678.5	2,622.9	632.5	648.9	683.3	706.3	2,670.9	660.9	679.9	716.9	730.8	2,788.5
Homebuilding Operating Income	**5,187.5**	**1,066.6**	**1,336.6**	**1,549.5**	**1,394.8**	**5,347.5**	**983.0**	**918.0**	**1,150.3**	**982.0**	**4,033.3**	**690.9**	**746.8**	**1,003.3**	**1,146.5**	**3,587.5**	**716.3**	**827.8**	**1,156.8**	**1,315.5**	**4,016.4**
Other Expense (Income), Net	(78.9)	(29.5)	(21.0)	(22.7)	(34.4)	(107.6)	(29.9)	(17.0)	(36.0)	(18.7)	(101.6)	(17.2)	(11.1)	(15.0)	(15.0)	(58.3)	(15.0)	(15.0)	(15.0)	(15.0)	(60.0)
Homebuilding Pre-Tax Income	**5,266.4**	**1,096.1**	**1,357.6**	**1,572.2**	**1,429.2**	**5,455.1**	**1,012.9**	**935.0**	**1,186.3**	**1,000.7**	**4,134.9**	**708.1**	**757.9**	**1,018.3**	**1,161.5**	**3,645.8**	**731.3**	**842.8**	**1,171.8**	**1,330.5**	**4,076.4**
Financial Services Revenue	801.4	192.6	225.6	242.3	222.0	882.5	182.3	212.9	227.8	218.3	841.3	184.6	192.8	213.5	226.0	816.9	194.8	219.1	232.7	240.3	886.9
Financial Services Expenses	594.9	151.5	171.2	178.0	171.7	672.4	154.2	160.3	171.0	166.0	651.5	145.0	159.8	181.5	169.5	655.8	155.8	170.9	174.6	180.2	681.5
Financial Services Other	(76.8)	(24.9)	(23.6)	(27.0)	(25.6)	(101.1)	(20.5)	(20.4)	(24.5)	(23.5)	(88.9)	(18.4)	(18.7)	(19.0)	(19.0)	(75.1)	(19.0)	(19.0)	(19.0)	(19.0)	(76.0)
Financial Services Pre-Tax Income	**283.3**	**66.0**	**78.0**	**91.3**	**75.9**	**311.2**	**48.6**	**73.0**	**81.3**	**75.8**	**278.7**	**58.0**	**51.7**	**51.0**	**75.5**	**236.2**	**58.0**	**67.2**	**77.2**	**79.1**	**281.4**
Forestar Real Estate Revenue	310.0	41.4	36.7	68.2	125.7	272.0	45.7	81.6	36.4	89.7	253.4	63.9	90.3	74.3	78.4	306.8	33.0	49.5	81.9	94.9	259.3
Forestar Total Expenses	(99.5)	(43.8)	(51.7)	(26.7)	19.5	(102.7)	(27.8)	3.6	(40.0)	(1.5)	(65.7)	(6.2)	4.1	(19.6)	(20.6)	(42.3)	(8.7)	(13.1)	(21.7)	(25.0)	(68.5)
Forestar Other Income	168.7	35.9	28.8	29.5	4.8	99.0	37.0	41.7	40.7	43.4	162.8	38.3	40.7	38.6	41.8	159.4	36.4	38.6	40.0	41.7	156.7
FOR Pre-Tax Income	**240.8**	**49.3**	**59.6**	**65.4**	**101.4**	**275.7**	**36.5**	**36.3**	**35.7**	**47.8**	**156.3**	**31.8**	**45.5**	**55.2**	**57.2**	**189.7**	**5.3**	**24.0**	**63.7**	**78.2**	**171.2**
Rental and Other Revenue	2,605.6	195.3	371.3	413.7	704.8	1,685.1	217.8	236.6	380.7	805.4	1,640.5	109.5	211.8	384.3	659.2	1,364.8	139.1	151.1	418.9	700.8	1,410.0
Rental and Other G&A	2,073.3	183.9	364.5	369.9	625.2	1,543.5	183.0	183.1	296.0	678.7	1,340.8	92.9	183.2	365.1	560.3	1,201.5	141.9	151.1	398.0	595.7	1,286.7
Gain on Sale and Other	8.1	(24.7)	(26.5)	(26.3)	(23.6)	(101.1)	22.9	30.7	29.9	46.2	129.7	16.4	16.3	(15.0)	(25.0)	(7.3)	(10.0)	(10.0)	(25.0)	(25.0)	(70.0)
Rental and Other Pre-tax income	**524.2**	**36.1**	**33.3**	**70.1**	**103.2**	**242.7**	**11.9**	**22.8**	**54.8**	**80.5**	**170.0**	**0.2**	**12.3**	**34.2**	**123.9**	**170.6**	**7.2**	**10.0**	**45.9**	**130.1**	**193.3**
Total Pre-Tax Income	6,314.7	1,247.5	1,528.5	1,799.0	1,709.7	6,284.7	1,109.9	1,067.1	1,358.1	1,204.8	4,739.9	798.1	867.4	1,158.8	1,418.0	4,242.3	801.8	944.0	1,358.6	1,617.9	4,722.2
Income Taxes	1,519.5	291.8	344.8	432.2	409.9	1,478.7	258.0	248.0	325.0	288.0	1,119.0	196.7	209.4	283.9	347.4	1,037.4	196.4	231.3	332.9	396.4	1,156.9
Net Income	**4,795.2**	**955.7**	**1,183.7**	**1,366.8**	**1,299.8**	**4,806.0**	**851.9**	**819.1**	**1,033.1**	**916.8**	**3,620.9**	**601.4**	**658.0**	**874.9**	**1,070.6**	**3,204.9**	**605.3**	**712.7**	**1,025.7**	**1,221.5**	**3,565.3**
Diluted EPS	**$13.82**	**$2.82**	**$3.52**	**$4.10**	**$3.92**	**$14.34**	**$2.61**	**$2.58**	**$3.36**	**$3.04**	**$11.57**	**$2.03**	**$2.24**	**$2.99**	**$3.70**	**$10.94**	**$2.14**	**$2.53**	**$3.66**	**$4.40**	**$12.69**
EPS ex charges	**$13.82**	**$2.82**	**$3.52**	**$4.10**	**$3.92**	**$14.34**	**$2.61**	**$2.58**	**$3.36**	**$3.04**	**$11.57**	**$2.03**	**$2.24**	**$2.99**	**$3.70**	**$10.94**	**$2.14**	**$2.53**	**$3.66**	**$4.40**	**$12.69**
Fully Diluted Shares Outstanding	343.4	335.7	333.3	330.1	327.3	331.6	323.3	314.0	304.9	297.4	309.9	293.3	289.0	286.9	284.6	288.5	281.5	278.5	275.5	272.6	277.0
EBIAT	4,906.1	977.2	1,209.1	1,393.6	1,329.4	4,909.2	875.2	843.8	1,062.3	960.3	3,741.7	625.0	686.9	920.0	1,120.4	3,352.3	642.1	752.6	1,074.9	1,274.4	3,744.1
EBITDA	6,743.9	1,342.5	1,620.9	1,898.3	1,842.0	6,703.7	1,223.9	1,186.1	1,501.8	1,376.6	5,288.4	909.7	1,000.4	1,298.6	1,563.9	4,772.6	930.5	1,061.9	1,498.8	1,763.0	5,254.1
Margins																					
Home Sales Gross Margin	23.5%	22.9%	23.2%	24.0%	23.6%	23.5%	22.7%	21.8%	21.8%	20.0%	21.5%	20.4%	20.1%	20.0%	19.9%	20.1%	19.9%	20.1%	20.3%	20.6%	20.3%
Home Sales Gross Margin ex Capitalized Interest	24.0%	23.3%	23.5%	24.4%	24.0%	23.9%	23.2%	22.3%	22.3%	20.7%	22.0%	20.9%	20.7%	20.7%	20.6%	20.7%	20.6%	20.8%	21.0%	21.3%	21.0%
Homebuilding SG&A/Sales	7.1%	8.3%	7.3%	7.1%	7.6%	7.5%	8.9%	8.9%	7.8%	7.9%	8.3%	9.7%	9.2%	8.0%	7.5%	8.5%	9.5%	9.0%	7.7%	7.3%	8.2%
Homebuilding Operating Margin	16.3%	14.6%	15.8%	16.8%	15.6%	15.7%	13.7%	12.7%	13.4%	11.5%	12.8%	10.6%	10.6%	11.7%	12.2%	11.4%	10.3%	10.9%	12.4%	13.1%	11.8%
Pre-tax Margin	17.8%	16.6%	16.8%	18.1%	17.1%	17.1%	15.0%	13.8%	14.7%	12.4%	13.8%	11.8%	11.5%	12.6%	13.6%	12.5%	11.1%	11.8%	13.5%	14.6%	13.0%
Financial Services Pre-tax Income Margin	35.4%	34.3%	34.6%	37.7%	34.2%	35.3%	26.7%	34.3%	35.7%	34.7%	33.1%	31.4%	26.8%	23.9%	33.4%	28.9%	29.8%	30.7%	33.2%	32.9%	31.7%
FOR Pre-tax Income Margin	77.7%	119.1%	162.4%	95.9%	80.7%	101.4%	79.9%	44.5%	98.1%	53.3%	61.7%	49.8%	50.4%	74.3%	72.9%	61.8%	16.0%	48.5%	77.7%	82.4%	66.0%
Rental and Other Pre-tax Income Margin	20.1%	18.5%	9.0%	16.9%	14.6%	14.4%	5.5%	9.6%	14.4%	10.0%	10.4%	0.2%	5.8%	8.9%	18.8%	12.5%	5.2%	6.6%	11.0%	18.6%	13.7%
Tax Rate	24.1%	23.4%	22.6%	24.0%	24.0%	23.5%	23.2%	23.2%	23.9%	23.9%	23.6%	24.6%	24.1%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%
YOY Growth Rate																					
Homebuilding Revenue	(0.6)%	8.2%	13.4%	5.8%	1.7%	7.0%	(1.8)%	(15.0)%	(7.1)%	(4.3)%	(7.2)%	(8.9)%	(1.9)%	(0.3)%	10.2%	0.2%	6.8%	7.2%	9.0%	6.3%	7.3%
Homebuilding Gross Profit	(18.5)%	3.8%	22.0%	9.1%	(5.6)%	6.4%	(3.0)%	(20.2)%	(17.5)%	(19.9)%	(15.8)%	(18.3)%	(10.3)%	(7.3)%	11.6%	(6.0)%	4.1%	8.0%	11.1%	10.5%	8.7%
Homebuilding SG&A	2.4%	14.5%	12.6%	12.2%	16.7%	14.0%	5.5%	3.9%	2.1%	(0.1)%	2.7%	(0.6)%	1.7%	2.0%	4.1%	1.8%	4.5%	4.8%	4.9%	3.5%	4.4%
Homebuilding Operating Income	(25.1)%	(1.3)%	26.9%	7.8%	(13.6)%	3.1%	(7.8)%	(31.3)%	(25.8)%	(29.6)%	(24.6)%	(29.7)%	(18.6)%	(12.8)%	16.7%	(11.1)%	3.7%	10.8%	15.3%	14.7%	12.0%
Homebuilding Pre-Tax Income	(24.1)%	0.2%	27.1%	7.4%	(12.8)%	3.6%	(7.6)%	(31.1)%	(24.5)%	(30.0)%	(24.2)%	(30.1)%	(18.9)%	(14.2)%	16.1%	(11.8)%	3.3%	11.2%	15.1%	14.6%	11.8%
Financial Services Pre-tax Income	(2.5)%	262.6%	NM	(3.0)%	(11.1)%	9.8%	(26.4)%	NM	(11.0)%	(0.1)%	(10.4)%	19.3%	NM	(37.2)%	(0.4)%	(15.2)%	(0.1)%	30.0%	51.3%	4.7%	19.1%
FOR Pre-tax Income	22.7%	11.3%	4.2%	3.3%	33.4%	14.5%	(26.0)%	(39.1)%	(45.4)%	(52.9)%	(43.3)%	(12.9)%	25.3%	54.6%	19.6%	21.4%	(83.4)%	(47.2)%	15.4%	36.7%	(9.8)%
Rental and Other Pre-tax Income	159.4%	(67.3)%	(3.8)%	(56.8)%	(52.5)%	(53.7)%	(67.0)%	(31.5)%	(21.8)%	(22.0)%	(30.0)%	(98.3)%	(46.1)%	(37.6)%	53.9%	0.4%	3508.6%	(18.7)%	34.3%	5.0%	13.3%
Total Pre-Tax Income	(17.2)%	(1.6)%	22.7%	0.8%	(15.3)%	(0.5)%	(11.0)%	(30.2)%	(24.5)%	(29.5)%	(24.6)%	(28.1)%	(18.7)%	(14.7)%	17.7%	(10.5)%	0.5%	8.8%	17.2%	14.1%	11.3%
Diluted EPS	(16.3)%	2.1%	28.7%	5.1%	(11.9)%	3.8%	(7.4)%	(26.6)%	(18.0)%	(22.4)%	(19.3)%	(22.4)%	(13.1)%	(10.9)%	21.7%	(5.4)%	5.8%	13.1%	22.2%	18.8%	16.0%
Diluted EPS ex charges	(16.3)%	2.1%	28.7%	5.1%	(11.9)%	3.8%	(7.4)%	(26.6)%	(18.0)%	(22.4)%	(19.3)%	(22.4)%	(13.1)%	(10.9)%	21.7%	(5.4)%	5.8%	13.1%	22.2%	18.8%	16.0%
Operating Metrics																					
Community Count (YOY Change)	*6.3%*	*14.0%*	*15.0%*	*12.0%*	*10.0%*	*12.8%*	*10.0%*	*10.0%*	*12.0%*	*13.0%*	*11.3%*	*12.0%*	*11.0%*	*10.0%*	*8.0%*	*10.3%*	*7.0%*	*6.0%*	*5.0%*	*5.0%*	*5.8%*
Sales Per Community (YOY Change)	*1.4%*	*18.4%*	*(0.6)%*	*(10.2)%*	*(8.6)%*	*(0.3)%*	*(10.3)%*	*(22.9)%*	*(10.4)%*	*(6.7)%*	*(12.6)%*	*(8.4)%*	*0.3%*	*(2.0)%*	*(3.0)%*	*(3.3)%*	*2.0%*	*0.0%*	*1.0%*	*2.0%*	*1.3%*
Orders (Units)	78,342	18,069	26,456	23,001	19,035	86,561	17,837	22,437	23,071	20,078	83,423	18,300	24,992	24,871	21,034	89,196	19,973	26,492	26,375	22,527	95,366
YOY	*2.9%*	*35.0%*	*14.3%*	*0.5%*	*0.5%*	*10.5%*	*(1.3)%*	*(15.2)%*	*0.3%*	*5.5%*	*(3.6)%*	*2.6%*	*11.4%*	*7.8%*	*4.8%*	*6.9%*	*9.1%*	*6.0%*	*6.1%*	*7.1%*	*6.9%*
Deliveries (Units)	82,917	19,340	22,548	24,155	23,647	89,690	19,059	19,276	23,160	23,368	84,863	17,818	19,486	23,635	26,271	87,210	19,321	20,975	25,716	27,591	93,603
YOY	*0.2%*	*11.5%*	*14.7%*	*5.1%*	*3.1%*	*8.2%*	*(1.5)%*	*(14.5)%*	*(4.1)%*	*(1.2)%*	*(5.4)%*	*(6.5)%*	*1.1%*	*2.1%*	*12.4%*	*2.8%*	*8.4%*	*7.6%*	*8.8%*	*5.0%*	*7.3%*
Backlog (Units)	15,197	13,965	17,873	16,792	12,180	12,180	11,003	14,164	14,075	10,785	10,785	11,376	16,882	18,118	12,881	12,881	13,532	19,049	19,708	14,644	14,644
YOY	*(22.5)%*	*(11.4)%*	*(7.1)%*	*(12.5)%*	*(19.9)%*	*(19.9)%*	*(21.2)%*	*(20.8)%*	*(16.2)%*	*(11.5)%*	*(11.5)%*	*3.4%*	*19.2%*	*28.7%*	*19.4%*	*19.4%*	*19.0%*	*12.8%*	*8.8%*	*13.7%*	*13.7%*
Pricing (000s)																					
Average Selling Price	$381.6	$376.2	$375.5	$382.2	$377.6	$378.0	$374.9	$372.5	$369.6	$365.6	$370.4	$365.5	$361.6	$361.4	$358.5	$361.4	$360.1	$360.2	$362.0	$362.8	$361.4
YOY	*(0.9)%*	*(2.8)%*	*(0.9)%*	*0.9%*	*(1.4)%*	*(0.9)%*	*(0.3)%*	*(0.8)%*	*(3.3)%*	*(3.2)%*	*(2.0)%*	*(2.5)%*	*(2.9)%*	*(2.2)%*	*(2.0)%*	*(2.4)%*	*(1.5)%*	*(0.4)%*	*0.2%*	*1.2%*	*0.0%*
Average Order Price	$376.9	$375.8	$380.4	$378.9	$375.4	$377.9	$373.0	$372.5	$365.1	$364.9	$368.7	$364.0	$366.3	$359.6	$361.2	$362.8	$360.4	$361.7	$360.5	$364.8	$361.8
YOY	*(5.5)%*	*2.1%*	*2.0%*	*(0.6)%*	*(2.0)%*	*0.3%*	*(0.7)%*	*(2.1)%*	*(3.7)%*	*(2.8)%*	*(2.4)%*	*(2.4)%*	*(1.7)%*	*(1.5)%*	*(1.0)%*	*(1.6)%*	*(1.0)%*	*(1.2)%*	*0.2%*	*1.0%*	*(0.3)%*
Average Backlog Price	$389.8	$389.7	$393.9	$390.3	$391.7	$391.7	$390.7	$386.7	$379.3	$382.0	$382.0	$379.2	$380.4	$376.6	$388.6	$388.6	$387.7	$381.8	$379.1	$387.8	$387.8
YOY	*(4.1)%*	*(1.3)%*	*2.4%*	*0.5%*	*0.5%*	*0.5%*	*0.2%*	*(1.8)%*	*(2.8)%*	*(2.5)%*	*(2.5)%*	*(3.0)%*	*(1.6)%*	*(0.7)%*	*1.7%*	*1.7%*	*2.2%*	*0.4%*	*0.7%*	*(0.2)%*	*(0.2)%*
Conversion																					
Backlog Conversion - Units	113.0%	127.3%	161.5%	135.1%	140.8%	141.2%	156.5%	175.2%	163.5%	166.0%	165.3%	165.2%	171.3%	140.0%	145.0%	155.4%	150.0%	155.0%	135.0%	140.0%	145.0%
YOY	*43.0%*	*38.9%*	*36.7%*	*15.7%*	*21.3%*	*28.1%*	*29.2%*	*13.7%*	*28.4%*	*25.2%*	*24.1%*	*8.7%*	*(3.9)%*	*(23.5)%*	*(21.0)%*	*(9.9)%*	*(15.2)%*	*(16.3)%*	*(5.0)%*	*(5.0)%*	*(10.4)%*
Backlog Conversion - Dollars	109.8%	122.8%	155.6%	131.1%	136.2%	136.4%	149.8%	167.0%	156.3%	160.1%	158.3%	158.1%	163.3%	133.0%	138.0%	148.1%	139.0%	144.0%	128.0%	134.0%	136.3%
YOY	*40.0%*	*38.7%*	*35.8%*	*13.5%*	*18.4%*	*26.6%*	*27.0%*	*11.5%*	*25.2%*	*23.8%*	*21.9%*	*8.3%*	*(3.7)%*	*(23.3)%*	*(22.1)%*	*(10.2)%*	*(19.1)%*	*(19.3)%*	*(5.0)%*	*(4.0)%*	*(11.9)%*

Sources: Company Filings, BTIG Research

BTIG

D. R. HORTON, INC. (DHI)

FISCAL YEAR ENDS SEPTEMBER	2023	Dec	Mar	Jun	Sep	2024	Dec	Mar	Jun	Sep	2025	Dec	Mar	Jun	Sep	2026	Dec	Mar	Jun	Sep	2027
BALANCE SHEET ($M)	**FY**	**Q1**	**Q2**	**Q3**	**Q4**	**FY**	**Q1**	**Q2**	**Q3**	**Q4**	**FY**	**Q1**	**Q2**	**Q3E**	**Q4E**	**FYE**	**Q1E**	**Q2E**	**Q3E**	**Q4E**	**FYE**
ASSETS																					
Homebuilding Cash & Equivalents	2,920.2	2,504.1	2,192.6	2,174.3	3,623.0	3,623.0	2,547.9	1,904.0	1,962.4	2,210.5	2,210.5	1,922.2	1,139.3	1,221.0	2,529.0	2,529.0	1,402.8	719.8	846.0	1,936.0	1,936.0
Inventories	18,155.8	19,366.9	19,929.8	20,504.2	20,031.0	20,031.0	20,651.4	20,911.7	21,098.2	20,316.5	20,316.5	20,239.4	20,969.3	21,302.5	20,547.2	20,547.2	21,288.6	21,905.4	22,121.7	21,506.4	21,506.4
Financial Services Assets	2,980.1	2,675.2	3,213.3	3,092.4	2,956.7	2,956.7	2,191.9	2,946.1	3,292.0	3,055.8	3,055.8	2,345.2	3,131.8	3,131.8	3,131.8	3,131.8	3,131.8	3,131.8	3,131.8	3,131.8	3,131.8
Deferred Tax Asset	229.8	218.0	209.1	200.7	211.6	211.6	169.2	127.1	121.6	125.7	125.7	108.6	70.8	70.8	70.8	70.8	70.8	70.8	70.8	70.8	70.8
Forestar Assets	2,042.1	2,261.0	2,404.5	2,571.2	2,543.1	2,543.1	2,777.1	2,844.6	2,727.0	2,864.8	2,864.8	2,866.3	2,817.5	2,906.5	2,933.1	2,933.1	2,928.5	3,026.2	3,120.5	3,109.1	3,109.1
Other Segment Assets	2,860.1	3,100.7	3,228.0	3,244.9	3,123.1	3,123.1	3,122.9	3,239.7	3,334.4	2,851.0	2,851.0	3,023.5	3,167.2	3,167.2	3,167.2	3,167.2	3,167.2	3,167.2	3,167.2	3,167.2	3,167.2
Other Assets	3,260.0	3,121.4	3,086.6	3,229.4	3,481.5	3,481.5	3,435.0	3,582.5	3,726.0	3,912.6	3,912.6	4,000.1	4,136.7	4,101.7	4,016.7	4,016.7	4,181.7	4,246.7	4,211.7	4,126.7	4,126.7
Goodwill	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3	134.3
Total Assets	**32,582.4**	**33,381.6**	**34,398.2**	**35,151.4**	**36,104.3**	**36,104.3**	**35,029.7**	**35,690.0**	**36,395.9**	**35,471.2**	**35,471.2**	**34,639.6**	**35,566.9**	**36,035.8**	**36,530.1**	**36,530.1**	**36,305.7**	**36,402.3**	**36,804.1**	**37,182.3**	**37,182.3**
LIABILITIES AND EQUITY																					
Homebuilding Payables	1,033.7	1,017.0	1,120.0	1,134.6	1,046.1	1,046.1	1,112.7	1,097.1	1,163.7	1,016.8	1,016.8	811.6	1,153.4	1,144.5	1,136.5	1,136.5	1,046.5	955.1	1,039.3	962.3	962.3
Accruals & Other	2,585.5	2,761.4	2,434.5	2,487.8	2,552.0	2,552.0	2,712.3	2,560.1	2,754.9	3,122.1	3,122.1	3,146.5	3,038.7	3,140.6	3,184.5	3,184.5	3,178.0	3,312.2	3,297.6	3,343.8	3,343.8
Homebuilding Debt	2,329.9	2,355.4	2,363.2	2,257.8	2,926.8	2,926.8	2,448.2	3,148.5	3,651.7	3,154.4	3,154.4	3,165.1	3,427.1	3,427.1	3,427.1	3,427.1	3,427.1	3,427.1	3,427.1	3,427.1	3,427.1
Financial Services Liabilities	1,950.1	1,634.1	2,111.9	1,935.6	1,769.2	1,769.2	1,049.9	1,753.7	2,072.1	1,703.7	1,703.7	1,113.6	1,892.8	1,892.8	1,892.8	1,892.8	1,892.8	1,892.8	1,892.8	1,892.8	1,892.8
Forestar Liabilities	403.5	601.6	663.7	767.9	693.1	693.1	893.5	912.5	753.0	866.7	866.7	829.1	746.4	786.1	761.4	761.4	749.4	825.2	865.1	784.9	784.9
Total Liabilities	**9,444.5**	**9,778.1**	**10,101.8**	**10,000.7**	**10,279.9**	**10,279.9**	**9,566.8**	**10,831.3**	**11,802.9**	**10,729.0**	**10,729.0**	**10,084.2**	**11,367.9**	**11,500.6**	**11,511.8**	**11,511.8**	**11,403.3**	**11,521.9**	**11,631.5**	**11,520.4**	**11,520.4**
Equity	**23,137.9**	**23,603.5**	**24,296.4**	**25,150.7**	**25,824.4**	**25,824.4**	**25,462.9**	**24,858.7**	**24,593.0**	**24,742.2**	**24,742.2**	**24,555.4**	**24,199.0**	**24,535.3**	**25,018.3**	**25,018.3**	**24,902.5**	**24,880.4**	**25,172.6**	**25,662.0**	**25,662.0**
Total Liabilities & Equity	**32,582.4**	**33,381.6**	**34,398.2**	**35,151.4**	**36,104.3**	**36,104.3**	**35,029.7**	**35,690.0**	**36,395.9**	**35,471.2**	**35,471.2**	**34,639.6**	**35,566.9**	**36,035.8**	**36,530.1**	**36,530.1**	**36,305.7**	**36,402.3**	**36,804.1**	**37,182.3**	**37,182.3**
TBVPS	**$66.17**	**$68.24**	**$71.51**	**$74.62**	**$76.36**	**$76.36**	**$77.11**	**$77.32**	**$78.56**	**$81.12**	**$81.12**	**$81.58**	**$81.51**	**$83.23**	**$85.55**	**$85.55**	**$86.08**	**$86.92**	**$88.87**	**$91.55**	**$91.55**
CASH FLOW STATEMENT ($M)																					
Cash Flow from Operations																					
Net Income	4,795.2	955.7	1,183.7	1,366.8	1,299.8	4,806.0	851.9	819.1	1,033.1	916.8	3,620.9	601.4	658.0	874.9	1,070.6	3,204.9	605.3	712.7	1,025.7	1,221.5	3,565.3
Addbacks:																					
D&A	91.6	20.0	21.1	22.4	23.6	87.1	24.1	24.6	25.2	27.4	101.3	27.7	28.1	25.0	25.0	105.8	25.0	25.0	25.0	25.0	100.0
Deferred Income Taxes	(45.9)	11.3	8.6	10.0	(10.9)	19.0	40.1	53.0	8.1	22.0	123.2	19.5	33.6	0.0	0.0	53.1	0.0	0.0	0.0	0.0	0.0
Other	191.5	47.0	38.5	41.6	69.8	196.9	59.6	62.2	80.1	87.2	289.1	52.6	66.8	55.0	55.0	229.4	55.0	40.0	50.0	50.0	195.0
Net (Increase)/Decrease In Inventories	(364.6)	(1,404.2)	(676.0)	(794.9)	439.9	(2,435.2)	(1,061.8)	(297.3)	(268.1)	971.7	(655.5)	(90.3)	(599.1)	(448.0)	801.7	(335.6)	(1,021.9)	(726.3)	(285.8)	795.8	(1,238.2)
Net Change in Mortgage Loans Held for Sale	(133.9)	475.8	(628.3)	93.6	101.3	42.4	683.1	(660.6)	(312.7)	201.2	(89.0)	657.7	(772.0)	0.0	0.0	(114.3)	0.0	0.0	0.0	0.0	0.0
Net (Increase)/Decrease In Other Assets	(128.0)	(386.5)	27.2	(170.8)	(15.9)	(546.0)	(21.3)	(317.6)	(28.4)	314.5	(52.8)	(160.5)	(163.2)	50.0	100.0	(173.7)	(150.0)	(50.0)	50.0	100.0	(50.0)
Net Increase/(Decrease) in Operating Liabilities	(101.8)	127.5	(291.5)	129.6	54.0	19.6	71.0	(119.6)	201.3	(69.0)	83.7	(254.1)	335.3	93.0	36.0	210.1	(96.6)	42.8	69.6	(30.8)	(15.0)
Operating Cash Flow	**4,304.1**	**(153.4)**	**(316.7)**	**698.3**	**1,961.6**	**2,189.8**	**646.7**	**(436.2)**	**738.6**	**2,471.8**	**3,420.9**	**854.0**	**(412.5)**	**649.9**	**2,088.3**	**3,179.7**	**(583.1)**	**44.2**	**934.6**	**2,161.4**	**2,557.1**
Cash Flow from Investing																					
PP&E Expenditures	(148.6)	(47.6)	(23.7)	(62.0)	(32.0)	(165.3)	(13.3)	(34.3)	(46.0)	(43.8)	(137.4)	(27.4)	(37.2)	(40.0)	(40.0)	(144.6)	(40.0)	(40.0)	(40.0)	(40.0)	(160.0)
Acquisitions	(212.9)	(1.0)	0.0	(36.9)	(2.5)	(40.4)	7.2	(1.0)	(59.3)	0.0	(53.1)	(6.7)	(81.2)	0.0	0.0	(87.9)	0.0	0.0	0.0	0.0	0.0
Other	51.3	9.3	(3.0)	3.8	5.0	15.1	(51.0)	(2.1)	76.3	(1.4)	21.8	(82.1)	74.2	0.0	0.0	(7.9)	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	**(310.2)**	**(39.3)**	**(26.7)**	**(95.1)**	**(29.5)**	**(190.6)**	**(57.1)**	**(37.4)**	**(29.0)**	**(45.2)**	**(168.7)**	**(116.2)**	**(44.2)**	**(40.0)**	**(40.0)**	**(240.4)**	**(40.0)**	**(40.0)**	**(40.0)**	**(40.0)**	**(160.0)**
Cash Flow from Financing																					
Net Change in Homebuilding Debt	(1,061.6)	160.1	424.9	44.6	400.9	1,030.5	(95.4)	664.9	551.4	(991.7)	129.2	150.1	353.1	0.0	0.0	503.2	0.0	0.0	0.0	0.0	0.0
Dividends	(341.2)	(99.9)	(99.2)	(98.4)	(97.7)	(395.2)	(128.5)	(125.5)	(122.4)	(118.4)	(494.8)	(131.5)	(129.7)	(128.6)	(127.6)	(517.4)	(126.2)	(124.8)	(123.5)	(122.2)	(496.6)
Share Repurchase	(1,178.5)	(376.9)	(417.6)	(435.8)	(557.2)	(1,787.5)	(1,055.7)	(1,352.2)	(1,168.4)	(705.3)	(4,281.6)	(649.2)	(950.6)	(450.0)	(500.0)	(2,549.8)	(650.0)	(650.0)	(650.0)	(650.0)	(2,600.0)
Other	(85.4)	(46.1)	184.1	(187.0)	(154.1)	(203.1)	(785.0)	735.5	176.6	(242.8)	(115.7)	(587.5)	605.1	49.7	(14.7)	52.6	(2.0)	85.8	49.9	(70.2)	63.5
Financing Cash Flow	**(2,666.7)**	**(362.8)**	**92.2**	**(676.6)**	**(408.1)**	**(1,355.3)**	**(2,064.6)**	**(77.3)**	**(562.8)**	**(2,058.2)**	**(4,762.9)**	**(1,218.1)**	**(122.1)**	**(528.9)**	**(642.3)**	**(2,511.4)**	**(778.1)**	**(689.0)**	**(723.5)**	**(842.4)**	**(3,033.1)**
Increase (Decrease) in Cash & Equivalents	1,327.2	(555.5)	(251.2)	(73.4)	1,524.0	643.9	(1,475.0)	(550.9)	146.8	368.4	(1,510.7)	(480.3)	(578.8)	81.0	1,406.0	427.9	(1,401.2)	(684.8)	171.0	1,279.1	(635.9)
Cash At Beginning of Period	2,572.9	3,900.1	3,344.6	3,093.4	3,020.0	3,900.1	4,544.0	3,069.0	2,518.1	2,664.9	4,544.0	3,033.3	2,553.0	1,974.2	2,055.2	3,033.3	3,461.2	2,059.9	1,375.1	1,546.2	3,461.2
Cash At End of Period	**3,900.1**	**3,344.6**	**3,093.4**	**3,020.0**	**4,544.0**	**4,544.0**	**3,069.0**	**2,518.1**	**2,664.9**	**3,033.3**	**3,033.3**	**2,553.0**	**1,974.2**	**2,055.2**	**3,461.2**	**3,461.2**	**2,059.9**	**1,375.1**	**1,546.2**	**2,825.2**	**2,825.2**
Ratios																					
TTM EPS / BVPS	**22.7%**	**21.8%**	**22.1%**	**21.5%**	**20.0%**	**20.0%**	**19.1%**	**17.4%**	**16.1%**	**14.8%**	**14.8%**	**13.8%**	**13.2%**	**12.6%**	**13.2%**	**13.2%**	**13.2%**	**13.3%**	**13.9%**	**14.4%**	**14.4%**
TTM Return on Average Equity	22.7%	21.8%	22.2%	21.5%	19.9%	19.9%	19.1%	17.4%	16.1%	14.6%	14.6%	13.7%	13.2%	12.5%	13.1%	13.1%	13.2%	13.4%	13.9%	14.3%	14.3%
TTM Return on Average Invested Capital	20.7%	20.2%	20.6%	20.1%	18.6%	18.6%	17.9%	16.3%	14.9%	13.5%	13.5%	12.7%	12.2%	11.7%	12.3%	12.3%	12.3%	12.5%	12.9%	13.4%	13.4%
TTM Homebuilding Inventory Turns	1.37x	1.37x	1.37x	1.34x	1.33x	1.33x	1.29x	1.23x	1.20x	1.21x	1.21x	1.19x	1.18x	1.19x	1.23x	1.23x	1.23x	1.23x	1.25x	1.26x	1.26x
Debt/Total Capitalization	0.09x	0.09x	0.09x	0.08x	0.10x	0.10x	0.09x	0.11x	0.13x	0.12x	0.12x	0.12x	0.13x	0.13x	0.12x	0.12x	0.12x	0.12x	0.12x	0.12x	0.12x
Inventory & Cash to Debt	9.05x	9.29x	9.36x	10.04x	8.08x	8.08x	9.48x	7.25x	6.32x	7.14x	7.14x	7.00x	6.45x	6.57x	6.73x	6.73x	6.62x	6.60x	6.70x	6.84x	6.84x

Source: Company Filings, BTIG Research

Footnote: Cash At End of Period includes other segments and therefore does not match Homebuilding Cash & Equivalents.

BTIG

BTIG Covered Companies Mentioned in this Report

D.R. Horton, Inc. (DHI, Buy, $188 PT; Closing Price: $162.20)

BTIG

Appendix: Analyst Certification and Other Important Disclosures

Analyst Certification

I, Ryan Gilbert, hereby certify that the views about the companies and securities discussed in this report are accurately expressed and that I have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report.

Regulatory Disclosures

Ratings Definitions

BTIG LLC's ("BTIG") ratings, effective June 12, 2017, are defined as follows:

BUY – A security which is expected to produce a positive total return of 15% or greater over the 12 months following the recommendation. The BUY rating may be maintained as long as it is deemed appropriate, notwithstanding price fluctuations that would cause the target to fall outside of the 15% return.

SELL – A security which is expected to produce a negative total return of 15% or greater over the next 12 months following the recommendation. The SELL rating may be maintained as long as it is deemed appropriate, notwithstanding price fluctuations that would cause the target to fall outside of the 15% return.

NEUTRAL – A security which is not expected to appreciate or depreciate meaningfully over the next 12 months.

NOT RATED – A security which is not rated or covered by BTIG.

UNDER REVIEW – Effective immediately, coverage of the following securities is Under Review. Ratings, price targets, disclosures, and estimates for the companies listed below are suspended and should no longer be relied upon.

Distribution of Ratings and Investment Banking Clients

BTIG must disclose in each research report the percentage of all securities rated by the member to which the member would assign a "buy", "neutral" or "sell" rating. The said ratings are updated on a quarterly basis. BTIG must also disclose the percentage of subject companies within each of these three categories for whom the member has provided investment banking services within the previous twelve months.

Current Rating Distribution (as of April 22, 2026):

Coverage Universe	Count	Percent	Inv. Banking Relationships	Count	Percent
Buy	360	67.2%	Buy	106	29.4%
Neutral	173	32.3%	Neutral	40	23.1%
Sell	3	0.6%	Sell	0	0.0%

For purposes of FINRA ratings distribution rules, BTIG's stock ratings of Buy, Neutral and Sell fall into Buy, Hold and Sell categories, respectively.

Company Valuation and Risk Disclosures

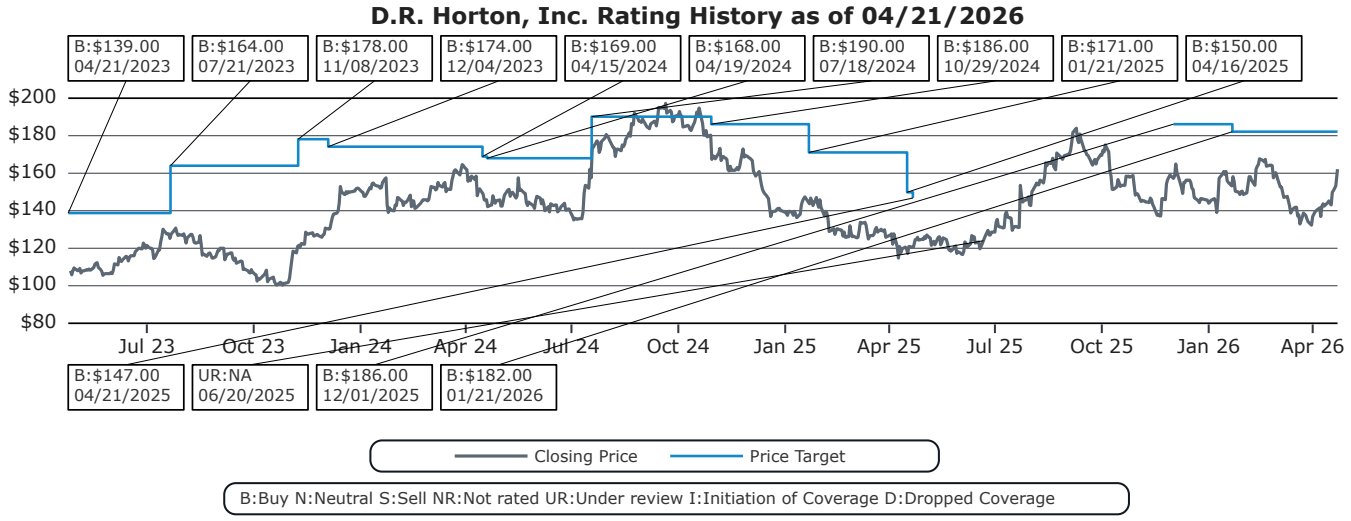
D.R. Horton, Inc. (DHI, Buy, $188 PT)

Valuation: Our $188 PT values DHI at 2.3x 2Q26 TBVPS of $81.51. The multiple is based on an NTM ROE of 14%, COE of 9%, and a 0.8x structural adjustment which reflects our view that DHI's operating model should drive structurally higher ROE over the longer term.

Risks: Downside risks include:

- Slower or contracting US GDP growth, which could reduce housing demand and negatively impact DHI's business and share price.
- Rising interest rates leading to higher mortgage rates, decreasing home affordability and potentially reducing demand for DHI's homes as buyers turn to rentals or remain in existing homes.

- Increased competition from national, regional, and alternative housing options, which could pressure DHI's revenue, margins, and earnings.
- Continued growth in housing inventory across key US markets, acting as a headwind for sales pace, demand, and pricing of DHI's homes.
- Adverse changes in federal government policies, including tariffs, immigration, or homebuilder production regulations, impacting DHI's operations and market outlook.



Company–Specific Regulatory Disclosures

BTIG LLC expects to receive or intends to seek compensation for investment banking services in the next 3 months from: D.R. Horton, Inc. (DHI)

BTIG LLC had an investment banking services client relationship during the past 12 months with: D.R. Horton, Inc. (DHI)

BTIG LLC has received compensation for investment banking services in the past 12 months from: D.R. Horton, Inc. (DHI)

Other Disclosures

Additional Information Available Upon Request

General Disclosures

Research reports produced by BTIG LLC ("BTIG") are published for and intended to be distributed solely to BTIG institutional and corporate clients. Recipients of BTIG reports will not be considered clients of BTIG solely because they may have received such BTIG report.

To the extent recipient accesses BTIG research, whether on a BTIG research website or through a third-party platform, BTIG is able to search, filter, download and review information on the readership of BTIG's research, including the specific research consumed and the name, company name, email address and, in certain circumstances, the location of the individual who accessed the research (the "Readership Information"). Recipient consents to BTIG's receipt of the Readership Information, including receipt of that information from a third party.

Without BTIG's prior written consent, recipients of BTIG research reports and any other BTIG material whether accessed from a BTIG research website, by email or other electronic means, or through a third-party platform are not permitted to use, in whole or in part, BTIG research reports or any other BTIG material, in connection with or to enable development of machine learning, or other similar technologies, or to train third-party or proprietary artificial intelligence technologies, models, software, platforms, tools or similar technologies, or as a prompt or input to any such technologies.

The research analyst(s) responsible for the preparation of this report receives compensation based upon a variety of factors, including the quality and accuracy of research, internal/client feedback, and overall Firm revenues.

Artificial intelligence tools may have been used in the preparation of this material, including assisting in fact-finding, data analysis, pattern recognition, and content drafting.

BTIG reports are based on public information and BTIG considers the same to be reliable, comprehensive information, but makes no representation or warranty that the reports are accurate or complete. BTIG opinions and information provided in this report are as of the date of the report and may change without notice. An issuer may be classified as "Under Review" or "Research Restricted". In these cases, investors should consider any previous investment recommendation and/or rating to a subject company/issuer to no longer be current and should not be relied upon nor considered a solicitation.

This research report is not an offer to buy or sell or solicitation of an offer to buy or sell any security in any jurisdiction where such an offer or solicitation would be illegal. This research report was not drafted specifically for any particular individual or entity and is not a personal recommendation to participate in any particular trading strategy or transaction. Any recipient of this research report should obtain independent advice specific to their personal circumstances before undertaking any investment activity and must make their own independent evaluation of any securities or financial instruments.

Facts, views or opinions presented in this report have not been reviewed by, and may not reflect information known to, employees or other professionals in the "BTIG Group" (BTIG Group includes, but is not limited to, BTIG and its parents, subsidiaries and/or affiliates). BTIG Group employees, including Sales Representatives and Traders, may provide oral or written commentary or advice that may be inconsistent with the opinions and/or views expressed in this research report. BTIG Group employees and/or its affiliates not involved in the preparation of this research report may have investments in securities or derivatives of securities of companies mentioned in this report that are inconsistent with the views discussed in this report.

Private Company Disclosure: No recommendations, ratings, estimates.

Regarding private companies discussed within this report, BTIG LLC does not assign a rating system. Unlike public companies that are under BTIG LLC research coverage, there are no recommendations, ratings, or estimates available for any of the private companies referenced herein. While the information derived from and contained in this report have been obtained from sources believed to be reliable, it is important to recognize that private companies are not typically subject to the same reporting obligations as publicly traded companies. This can result in less publicly available information, potentially less transparency, and fewer sources of information regarding the private enterprises discussed in these materials. The information contained in this document may differ from information a private company may subsequently make public or otherwise share with investors. BTIG assumes no responsibility for any such discrepancies. The reader should not assume that any discussion of private companies discussed in these materials is to be regarded as an express or implied acknowledgement or accedence to any research expectation of any private company if it goes public.

For a complete list of BTIG Disclosures including public company-specific disclosures and explanation of BTIG LLC's research Ratings Definitions for public companies, please visit https://research.btig.com/disclosures.

Investors in securities products bear certain risks in conjunction with those investments. The value of, and income from, any investments may vary because of changes in interest rates or foreign exchange rates, securities prices or market indexes, operational or financial conditions of companies or other factors within or beyond the companies' control. Recipient of the research reports should be aware that investments in securities may pose significant risks due to the inherent uncertainty associated with relying on forecasts of various factors that can affect the earnings, cash flow and overall valuation of a company. Any investment in securities should be undertaken only upon consideration of issues relating to the recipient's overall investment portfolio and objectives (such as diversification by asset class, industry or company) as well as time horizon and liquidity needs. Further, past performance should not be taken as an indication or guarantee of future performance, and no representation or warranty, express or implied, is made regarding future performance. There may be time limitations on the exercise of options or other rights in any securities transactions.

Investing in foreign markets and securities, including ADRs, is subject to additional risks such as currency fluctuation, limited information, political instability, economic risk, and the potential for illiquid markets. Investing in emerging markets may accentuate these risks. Non-U.S. reporting issuers of foreign securities, however, may not make regular or complete public disclosure relating to their financial condition or the securities that they issue.

The trademarks and service marks contained herein are the property of their respective owners. Third-party data providers make no warranties or representations of any kind relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability of any damages of any kind relating to such data. The report or any portion hereof may not be reprinted, sold or redistributed without the written consent of BTIG. This report is intended only for use by the recipient. The recipient acknowledges that all research and analysis in this report are the property of BTIG and agrees to limit the use of all publications

received from BTIG within his, or her or its, own company or organization. No rights are given for passing on, transmitting, re transmitting or reselling the information provided.

Jurisdiction and Dissemination

BTIG is a U.S. broker-dealer and member of FINRA and SIPC.

BTIG Australia Limited ACN 128 554 601, member of ASIC and ASX; BTIG Hong Kong Limited, an Exchange Participant of SEHK and licensed and regulated by the SFC; BTIG Ltd, member of the LSE, authorized and regulated by the FSA; and BTIG Singapore Pte Ltd, registered and licensed with MAS; are all separate but affiliated entities of BTIG. Unless governing law permits otherwise, you must contact a BTIG entity in your home jurisdiction for further information, or if you want to use our services in effecting a transaction.

Issued and approved for distribution in the UK and EEA by BTIG Ltd. to eligible counterparties and professional clients only. Issued and distributed in Australia to “wholesale clients” only by BTIG Australia Limited. In Singapore and Hong Kong, further information may be obtained from BTIG Singapore Pte Ltd and BTIG Hong Kong Limited, respectively.

OPPENHEIMER

EQUITY RESEARCH

COMPANY UPDATE

April 22, 2026

INDUSTRIAL/CAPITAL GOODS/HOMEBUILDERS

Stock Rating:

PERFORM

12-18 mo. Price Target	NA
DHI - NYSE	$162.20
3-5 Yr. EPS Gr. Rate	4%
52-Wk Range	$184.55-$114.17
Shares Outstanding	289.0M
Float	269.2M
Market Capitalization	$46,989.9M
Avg. Daily Trading Volume	2,878,911
Dividend/Div Yield	$1.60/0.99%
Book Value	$81.80
Fiscal Year Ends	Sep
2026E ROE	12.8%
LT Debt	$6,563.8M
Preferred	$0.0M
Common Equity	$24,199M
Convertible Available	No

EPS Diluted	Q1	Q2	Q3	Q4	Year	Mult.
2025A	2.61	2.58	3.36	3.04	11.57	14.0x
2026E	2.03A	2.24A	3.00	3.38	10.65	15.2x
Prior (E)	—	*2.07*	*2.75*	*2.93*	*9.78*	*16.6x*
2027E	2.03	2.37	3.15	3.67	11.22	14.5x
Prior (E)	*1.86*	*2.23*	*3.14*	*3.32*	*10.54*	*15.4x*

Tyler Batory
212-667-7230
Tyler.Batory@opco.com

Disseminated: April 22, 2026 06:00 EDT; Produced: April 21, 2026 19:29 EDT

D.R. Horton, Inc.

DHI Model Update

SUMMARY

Updating estimates on DHI post FY2Q26 (March.) earnings reported yesterday morning. Results for the quarter were close to in line with Street expectations, but orders, commentary on demand, and Q3 gross margin guidance were all better than expected. These factors could be unique to DHI, as we still think the overall housing environment is weak.

Shares currently trade at 14.5x our FY27 EPS estimate and 1.8x P/B despite ROE headed for a deceleration into the low-teens this year. While DHI remains on our radar, this valuation gives us pause. We also have some concern that higher material costs could pressure gross margin in FY27.

KEY POINTS

- **Model adjustments:** We raised our FY26 EPS to $10.65 (prior $9.78). This reflects a higher gross margin assumption (20.2% current estimate vs. 19.4% prior). Our FY26 closings estimate of 86,864 homes is based on a normal seasonal cadence for sales pace this year. We also raised our FY27 EPS to $11.22 (prior $10.54), reflecting a higher starting point for gross margin and LSD closings growth.

Oppenheimer & Co. Inc. does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

For analyst certification and important disclosures, see the Disclosure Appendix.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners LP

Stock Price Performance

INVESTMENT THESIS

We see a less attractive risk/reward with DHI than with other builders. Risks include: 1) more interest-rate-sensitive customer base and 2) buyers who lack built-up equity. While these are risks for other builders, DHI is more exposed given less buyer diversity. Volatile performance in the rental business is an additional risk.

BASE CASE ASSUMPTION

- Orders down 3% YoY in FY26
- Closings flat up 2% in FY26
- Revenue down 1% YoY in FY26
- EPS down 8% YoY in FY26

CATALYSTS

- Significant move lower in mortgage rates
- Improvements to material costs and supply chain
- FY3Q26 closings ahead of consensus expectations

UPSIDE SCENARIO

- Lower mortgage rates stimulate demand for homes and allow the company to grow price and volume
- Improvement to cycle times enhances returns
- Lower material and labor costs contribute to gross margin upside

DOWNSIDE SCENARIO

- Higher mortgage rates negatively impact affordability for home buyers
- Declining profitability could result in land impairments

COMPANY DESCRIPTION

DHI is the largest homebuilder in the US. The company has operations in 106 markets and 33 states.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Revenue:																
Home sales	33,903.7	7,146.0	7,180.9	8,561.0	8,544.0	31,431.9	6,512.7	7,045.5	8,553.3	9,304.4	31,415.9	6,576.5	7,114.5	8,806.5	9,676.6	32,174.1
YoY % change	7.2%	(1.8%)	(15.2%)	(7.3%)	(4.3%)	(7.3%)	(8.9%)	(1.9%)	(0.1%)	8.9%	(0.1%)	1.0%	1.0%	3.0%	4.0%	2.4%
Land/lot sales and other	330.2	66.9	103.6	56.2	110.1	336.8	80.1	108.0	56.2	110.1	354.4	80.1	108.0	56.2	110.1	354.4
YoY % change	(19.9%)	8.4%	137.6%	(28.4%)	(24.8%)	2.0%	19.7%	4.2%	0.0%	0.0%	5.2%	0.0%	0.0%	0.0%	0.0%	0.0%
Rental property sales	1,685.1	217.8	236.6	380.7	805.4	1,640.5	109.5	211.8	355.3	619.5	1,296.1	137.9	231.1	355.3	619.5	1,343.8
Financial services	882.5	182.3	212.9	227.8	218.3	841.3	184.6	192.8	227.6	237.7	842.7	167.8	210.9	234.3	247.2	860.3
YoY % change	10.1%	(5.3%)	(5.6%)	(6.0%)	(1.7%)	(4.7%)	1.3%	(9.4%)	(0.1%)	8.9%	0.2%	(9.1%)	9.4%	3.0%	4.0%	2.1%
Total revenue	**36,801.5**	**7,613.0**	**7,734.0**	**9,225.7**	**9,677.8**	**34,250.5**	**6,886.9**	**7,558.1**	**9,192.4**	**10,271.8**	**33,909.2**	**6,962.3**	**7,664.6**	**9,452.3**	**10,653.5**	**34,732.7**
YoY % change	3.8%	(1.5%)	(15.1%)	(7.4%)	(3.2%)	(6.9%)	(9.5%)	(2.3%)	(0.4%)	6.1%	(1.0%)	1.1%	1.4%	2.8%	3.7%	2.4%
Cost of home sales (consolidated)	25,689.2	5,468.7	5,564.9	6,629.4	6,774.5	24,437.5	5,129.2	5,565.2	6,773.3	7,377.4	24,845.1	5,214.5	5,641.1	6,982.6	7,672.5	25,510.7
YoY % change	7.2%	(1.5%)	(13.6%)	(4.5%)	0.3%	(4.9%)	(6.2%)	0.0%	2.2%	8.9%	1.7%	1.7%	1.4%	3.1%	4.0%	2.7%
Home sales gross profit (consolidated)	**8,214.5**	**1,677.3**	**1,616.0**	**1,931.6**	**1,769.5**	**6,994.4**	**1,383.5**	**1,480.3**	**1,780.0**	**1,927.0**	**6,570.8**	**1,362.0**	**1,473.5**	**1,823.9**	**2,004.1**	**6,663.4**
YoY % change	6.8%	(2.6%)	(20.4%)	(15.5%)	(18.7%)	(14.9%)	(17.5%)	(8.4%)	(7.8%)	8.9%	(6.1%)	(1.6%)	(0.5%)	2.5%	4.0%	1.4%
Home sales gross margin (consolidated)	24.2%	23.5%	22.5%	22.6%	20.7%	22.3%	21.2%	21.0%	20.8%	20.7%	20.9%	20.7%	20.7%	20.7%	20.7%	20.7%
Land/lot sales and other	196.1	38.1	56.1	37.9	77.2	209.3	59.1	75.0	33.7	66.1	233.9	48.1	64.8	33.7	66.1	212.6
as a % of land lot sales	59.4%	57.0%	54.2%	67.4%	70.1%	62.1%	73.8%	69.4%	60.0%	60.0%	66.0%	60.0%	60.0%	60.0%	60.0%	60.0%
Rental property sales	1,301.9	179.4	182.8	295.0	672.1	1,329.3	92.7	182.5	284.2	495.6	1,055.1	110.3	184.9	284.2	495.6	1,075.1
Inventory and land option charges	78.9	16.6	30.0	54.2	57.3	158.1	11.2	32.1	58.5	57.6	159.4	16.8	32.1	58.5	57.6	165.0
YoY % change	(1.6%)	172.1%	120.6%	266.2%	29.1%	100.4%	(32.5%)	7.0%	7.9%	0.5%	0.8%	50.0%	0.0%	0.0%	0.0%	3.5%
Gross profit	9,535.4	1,910.2	1,900.2	2,209.2	2,096.7	8,116.3	1,594.7	1,703.3	2,042.6	2,275.1	7,615.7	1,572.6	1,741.7	2,093.2	2,361.7	7,769.3
Homebuilding SG&A	2,553.3	636.6	637.8	670.0	678.5	2,622.9	632.5	648.9	675.7	735.0	2,692.2	651.9	669.5	713.3	783.8	2,818.5
YoY % change	14.0%	5.5%	3.9%	2.1%	(0.1%)	2.7%	(0.6%)	1.7%	0.9%	8.3%	2.6%	3.1%	3.2%	5.6%	6.6%	4.7%
as % of sales	7.5%	8.9%	8.9%	7.8%	7.9%	8.3%	9.7%	9.2%	7.9%	7.9%	8.6%	9.9%	9.4%	8.1%	8.1%	8.8%
Financial services SG&A	672.4	154.2	160.3	171.0	166.0	651.5	145.0	159.8	177.5	185.4	667.8	130.9	164.5	182.8	185.4	663.6
as % of sales	76.2%	84.6%	75.3%	75.1%	76.0%	77.4%	78.5%	82.9%	78.0%	78.0%	79.2%	78.0%	78.0%	78.0%	75.0%	77.1%
Margin	23.8%	15.4%	24.7%	24.9%	24.0%	22.6%	21.5%	17.1%	22.0%	22.0%	20.8%	22.0%	22.0%	22.0%	25.0%	22.9%
Other SG&A	373.7	87.3	100.6	103.3	126.4	417.6	87.6	94.6	107.9	131.9	422.0	91.3	98.6	112.4	137.5	439.7
Total SG&A	3,599.4	878.1	898.7	944.3	970.9	3,692.0	865.1	903.3	961.1	1,052.4	3,781.9	874.0	932.6	1,008.5	1,106.7	3,921.8
YoY % change	10.8%	5.2%	2.1%	2.2%	1.1%	2.6%	(1.5%)	0.5%	1.8%	8.4%	2.4%	1.0%	3.2%	4.9%	5.2%	3.7%
as % of revenue	9.8%	11.5%	11.6%	10.2%	10.0%	10.8%	12.6%	12.0%	10.5%	10.2%	11.2%	12.6%	12.2%	10.7%	10.4%	11.3%
Equity in earnings of unconsolidated entities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Gain on sale of assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other (income) expense	(348.7)	(77.8)	(65.6)	(93.2)	(79.0)	(315.6)	(68.5)	(67.4)	(63.2)	(64.9)	(264.0)	(62.2)	(67.4)	(63.2)	(64.9)	(257.7)
Income before income taxes	**6,284.7**	**1,109.9**	**1,067.1**	**1,358.1**	**1,204.8**	**4,739.9**	**798.1**	**867.4**	**1,144.7**	**1,287.6**	**4,097.8**	**760.8**	**876.5**	**1,148.0**	**1,319.9**	**4,105.2**
Income tax expense	1,478.7	258.0	248.0	325.0	288.0	1,119.0	196.7	209.4	280.5	315.5	1,002.0	186.4	214.7	281.3	323.4	1,005.8
Tax rate	23.5%	23.2%	23.2%	23.9%	23.9%	23.6%	24.6%	24.1%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%
Net income	4,806.0	851.9	819.1	1,033.1	916.8	3,620.9	601.4	658.0	864.3	972.1	3,095.8	574.4	661.8	866.7	996.5	3,099.4
Net income attributable to nonctrolling interests	49.5	7.0	8.7	8.5	11.5	35.7	6.6	10.1	8.9	12.1	37.7	6.9	10.6	9.4	12.7	39.6
Net income attributable to D.R. Horton	**4,756.5**	**844.9**	**810.4**	**1,024.6**	**905.3**	**3,585.2**	**594.8**	**647.9**	**855.4**	**960.0**	**3,058.1**	**567.5**	**651.2**	**857.3**	**983.8**	**3,059.8**
YoY % change	0.2%	(10.8%)	(30.9%)	(24.3%)	(29.5%)	(24.6%)	(29.6%)	(20.1%)	(16.5%)	6.0%	(14.7%)	(4.6%)	0.5%	0.2%	2.5%	0.1%
as % of revenue	12.9%	11.1%	10.5%	11.1%	9.4%	10.5%	8.6%	8.6%	9.3%	9.3%	9.0%	8.2%	8.5%	9.1%	9.2%	8.8%
EPS - diluted	**14.36**	**2.61**	**2.58**	**3.36**	**3.04**	**11.57**	**2.03**	**2.24**	**3.00**	**3.38**	**10.65**	**2.03**	**2.37**	**3.15**	**3.67**	**11.22**
Adjusted weighted average of common shares	327.3	323.3	314.0	304.9	297.4	297.4	293.3	289.0	285.5	283.7	283.7	279.0	275.3	271.8	268.2	268.2
Home sales gross margin																
Homebuilding revenue	33,903.7	7,146.0	7,180.9	8,561.0	8,544.0	31,431.9	6,512.7	7,045.5	8,553.3	9,304.4	31,415.9	6,576.5	7,114.5	8,806.5	9,676.6	32,174.1
Consolidated cost of sales	25,689.2	5,468.7	5,564.9	6,629.4	6,774.5	24,437.5	5,129.2	5,565.2	6,773.3	7,377.4	24,845.1	5,214.5	5,641.1	6,982.6	7,672.5	25,510.7
Eliminations and other	(262.9)	(53.3)	(49.8)	(62.2)	(62.0)	(227.3)	(52.7)	(63.5)	(62.2)	(62.0)	(240.4)	(52.7)	(63.5)	(62.2)	(62.0)	(240.4)
Cost of sales	25,952.1	5,522.0	5,614.7	6,691.6	6,836.5	24,664.8	5,181.9	5,628.7	6,835.5	7,439.4	25,085.5	5,267.2	5,704.6	7,044.8	7,734.5	25,751.1
Gross Profit	7,951.6	1,624.0	1,566.2	1,869.4	1,707.5	6,767.1	1,330.8	1,416.8	1,717.8	1,865.0	6,330.4	1,309.3	1,410.0	1,761.7	1,942.1	6,423.0
Home sales gross margin	**23.5%**	**22.7%**	**21.8%**	**21.8%**	**20.0%**	**21.5%**	**20.4%**	**20.1%**	**20.1%**	**20.0%**	**20.2%**	**19.9%**	**19.8%**	**20.0%**	**20.1%**	**20.0%**
QoQ		(88)	(92)	3	(185)		45	(32)	(3)	(4)		(13)	(9)	19	7	
YoY	(6)	(20)	(135)	(215)	(362)	(192)	(229)	(170)	(175)	6	(138)	(52)	(29)	(8)	3	(19)

Source: Company filings, OpCo estimates

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

ESG CONSIDERATIONS *

ESG Rating	C+
ESG Rating Environment	C
ESG Rating Social	C+
ESG Rating Governance	B-

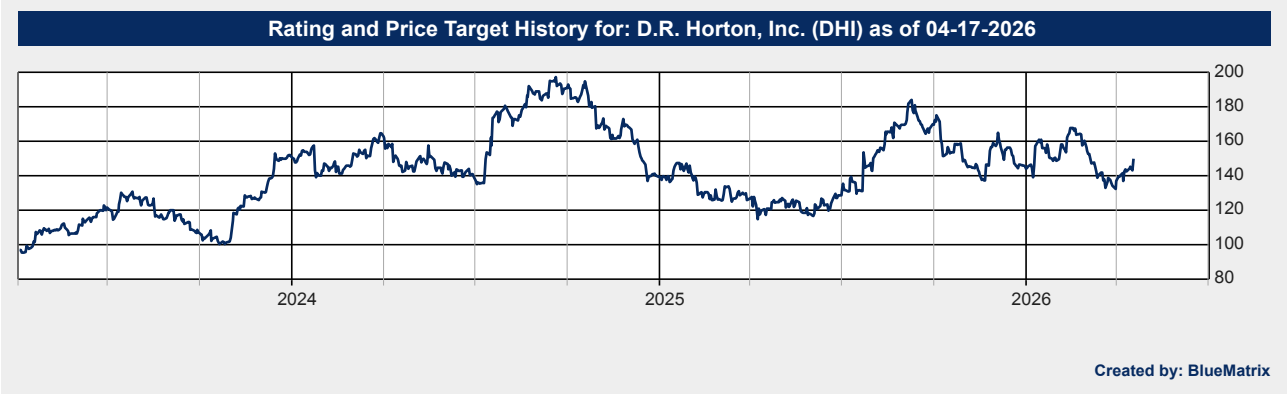
*Environmental/Social/Governance (ESG) scores are courtesy of Refinitiv's ESG product which are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. Refinitiv's ESG ratings are independent of Oppenheimer's stock ratings and are not taken into consideration when assigning a rating. For full details about Refinitiv's ESG scores, please click here

Disclosure Appendix

Analyst Certification - The author(s) certifies that this research report accurately states his/her personal views about the subject securities, which are reflected in the ratings as well as in the substance of this report. The author(s) certifies that no part of his/her compensation was, is, or will be directly or indirectly related to the specific recommendations or views contained in this research report.

Potential Conflicts of Interest:

Equity research analysts employed by Oppenheimer & Co. Inc. are compensated from revenues generated by the firm including the Oppenheimer & Co. Inc. Investment Banking Department. Research analysts do not receive compensation based upon revenues from specific investment banking transactions. Oppenheimer & Co. Inc. generally prohibits any research analyst and any member of his or her household from executing trades in the securities of a company that such research analyst covers. Additionally, Oppenheimer & Co. Inc. generally prohibits any research analyst from serving as an officer, director or advisory board member of a company that such analyst covers. In addition to 1% ownership positions in covered companies that are required to be specifically disclosed in this report, Oppenheimer & Co. Inc. may have a long position of less than 1% or a short position or deal as principal in the securities discussed herein, related securities or in options, futures or other derivative instruments based thereon. Recipients of this report are advised that any or all of the foregoing arrangements, as well as more specific disclosures set forth below, may at times give rise to potential conflicts of interest.



All price targets displayed in the chart above are for a 12- to- 18-month period. For more information about target price histories, please write to Oppenheimer & Co. Inc., 85 Broad Street, New York, NY 10004, Attention: Equity Research Department, Business Manager.

Oppenheimer & Co. Inc. Rating System:

Outperform(O) - Stock expected to outperform the S&P 500 within the next 12-18 months.

Perform (P) - Stock expected to perform in line with the S&P 500 within the next 12-18 months.

Underperform (U) - Stock expected to underperform the S&P 500 within the next 12-18 months.

Not Rated (NR) - Oppenheimer & Co. Inc. does not maintain coverage of the stock or is restricted from doing so due to a potential conflict of interest.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

Distribution of Ratings/IB Services Firmwide

			IB Serv/Past 12 Mos.	
Rating	Count	Percent	Count	Percent
OUTPERFORM [O]	449	66.52	187	41.65
PERFORM [P]	226	33.48	91	40.27
UNDERPERFORM [U]	0	0.00	0	0.00

Although the investment recommendations within the three-tiered, relative stock rating system utilized by Oppenheimer & Co. Inc. do not correlate to buy, hold and sell recommendations, for the purposes of complying with FINRA rules, Oppenheimer & Co. Inc. has assigned buy ratings to securities rated Outperform, hold ratings to securities rated Perform, and sell ratings to securities rated Underperform.

Note: Stocks trading under $5 can be considered speculative and appropriate for risk tolerant investors.

Additional Information Available

Company-Specific Disclosures: Important disclosures, including price charts, are available for compendium reports and all Oppenheimer & Co. Inc.-covered companies by logging on to https://www.oppenheimer.com/client-login.aspx or writing to Oppenheimer & Co. Inc., 85 Broad Street, New York, NY 10004, Attention: Equity Research Department, Business Manager.

Other Disclosures

This report is issued and approved for distribution by Oppenheimer & Co. Inc. Oppenheimer & Co. Inc. transacts business on all principal exchanges and is a member of SIPC. This report is provided, for informational purposes only, to institutional and retail investor clients of Oppenheimer & Co. Inc. and does not constitute an offer or solicitation to buy or sell any securities discussed herein in any jurisdiction where such offer or solicitation would be prohibited. The securities mentioned in this report may not be suitable for all types of investors. This report does not take into account the investment objectives, financial situation or specific needs of any particular client of Oppenheimer & Co. Inc. Recipients should consider this report as only a single factor in making an investment decision and should not rely solely on investment recommendations contained herein, if any, as a substitution for the exercise of independent judgment of the merits and risks of investments. The analyst writing the report is not a person or company with actual, implied or apparent authority to act on behalf of any issuer mentioned in the report. Before making an investment decision with respect to any security recommended in this report, the recipient should consider whether such recommendation is appropriate given the recipient's particular investment needs, objectives and financial circumstances. We recommend that investors independently evaluate particular investments and strategies, and encourage investors to seek the advice of a financial advisor. Oppenheimer & Co. Inc. will not treat non-client recipients as its clients solely by virtue of their receiving this report. Past performance is not a guarantee of future results, and no representation or warranty, express or implied, is made regarding future performance of any security mentioned in this report. The price of the securities mentioned in this report and the income they produce may fluctuate and/or be adversely affected by exchange rates, and investors may realize losses on investments in such securities, including the loss of investment principal. Oppenheimer & Co. Inc. accepts no liability for any loss arising from the use of information contained in this report, except to the extent that liability may arise under specific statutes or regulations applicable to Oppenheimer & Co. Inc. All information, opinions and statistical data contained in this report were obtained or derived from public sources believed to be reliable, but Oppenheimer & Co. Inc. does not represent that any such information, opinion or statistical data is accurate or complete (with the exception of information contained in the Important Disclosures section of this report provided by Oppenheimer & Co. Inc. or individual research analysts), and they should not be relied upon as such. All estimates, opinions and recommendations expressed herein constitute judgments as of the date of this report and are subject to change without notice. Nothing in this report constitutes legal, accounting or tax advice. Since the levels and bases of taxation can change, any reference in this report to the impact of taxation should not be construed as offering tax advice on the tax consequences of investments. As with any investment having potential tax implications, clients should consult with their own independent tax adviser. This report may provide addresses of, or contain hyperlinks to, Internet web sites. Oppenheimer & Co. Inc. has not reviewed the linked Internet web site of any third party and takes no responsibility for the contents thereof. Each such address or hyperlink is provided solely for the recipient's convenience and information, and the content of linked third party web sites is not in any way incorporated into this document. Recipients who choose to access such third-party web sites or follow such hyperlinks do so at their own risk.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

This research is distributed in the UK and elsewhere throughout Europe, as third party research by Oppenheimer Europe Ltd, which is authorized and regulated by the Financial Conduct Authority (FCA). This research is for information purposes only and is not to be construed as a solicitation or an offer to purchase or sell investments or related financial instruments. This research is for distribution only to persons who are eligible counterparties or professional clients. It is not intended to be distributed or passed on, directly or indirectly, to any other class of persons. In particular, this material is not for distribution to, and should not be relied upon by, retail clients, as defined under the rules of the FCA. Neither the FCA's protection rules nor compensation scheme may be applied. https://opco2.bluematrix.com/sellside/MAR.action

Distribution in Hong Kong: This report is prepared for professional investors and is being distributed in Hong Kong by Oppenheimer Investments Asia Limited (OIAL) to persons whose business involves the acquisition, disposal or holding of securities, whether as principal or agent. OIAL, an affiliate of Oppenheimer & Co. Inc., is regulated by the Securities and Futures Commission for the conduct of dealing in securities and advising on securities. For professional investors in Hong Kong, please contact researchasia@opco.com for all matters and queries relating to this report.

ESG Scores: ESG scores from Refinitiv are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. This covers 10 main themes including emissions, environmental product innovation, human rights, shareholders and so on. Ratings are available on close to 10,000 companies globally, with time-series data going back to 2002. The percentile rank scores are simple to understand and transparent. They are benchmarked against The Refinitiv Business Classifications (TRBC – Industry Group) for all environmental and social categories, as well as the controversies score. They are also measured against the country of incorporation for all governance categories.

Please note that all ESG ratings are independent of Oppenheimer stock ratings. They are intended to provide supplemental information regarding ESG for our covered companies. ESG ratings do not have any impact on the stock rating.

This report or any portion hereof may not be reprinted, sold, or redistributed without the written consent of Oppenheimer & Co. Inc. Copyright © Oppenheimer & Co. Inc. 2026.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

Equity Research Report

April 21, 2026

INDUSTRIALS: Homebuilding

Jonathan Bettenhausen
404-439-7629
Jonathan.Bettenhausen@truist.com

Stock Rating	**HOLD** *Unchanged*
Price Target	**$150.00** ↑ *from $140.00*

TR to Target	(6.4)%
Price (Apr. 21, 2026)	$162.20
52-Wk Range	$184.04-$116.89
Market Cap ($M)	$46,876
ADTV	2,008,190
Shares Out (M)	289
Short Interest Ratio/% Of Float	6.3%
Dividend/Yield	$1.80/1.1%
Enterprise Value ($M)	$51,466
Cash & Equivalents ($M)	$1,974
Total Debt ($M)	$6,564

8 Page Document

Reasons for this report

- ✓ Earnings Recap
- ✓ Updating Estimates and PT

D.R. Horton, Inc. (DHI)

DHI - FY2Q Earnings Recap; Stock Up Notably As Results And Guidance Did Not See Substantial Deterioration

DHI stock rose about 6% (S&P 500 -0.5%) in the trading session following this morning's print. Notably, the company posted an 11% gain in new orders, which was at parity with community count growth for the quarter. While the new order result laps an easy comp, this was still a solid result given the macro situation, in our view. Our data reads suggested demand tapered off in March, but DHI indicated demand was in-line with seasonality. We remain hold on DHI. We have bumped up our 2027 ROE projection (and thus raised our PT to $150 from $140), but still struggle to see much upside to current multiples.

Changes to Our Estimates and Price Target. We have raised our 2026 EPS estimate on the shares to $10.53 from $10.05 previously (Street $10.48) following the results today. Note that we are taking down our 2027 EPS estimate to $12.08 from $12.25 (Street $11.68) as we have modeled in incrementally more conservatism on demand and ASP next year for DHI. We are raising our price target on the shares to $150 from $140, but maintaining our hold rating on the shares.

FY2Q Results Overview. DHI reported FY2Q EPS of $2.24, compared to the Street view of $2.13. This was a 13% y/y decline and driven by a 2% y/y decline in home sale revenue ($7,046 million vs Street of $7,167 million) and a ~170 bp decline in home sales gross margin. Despite the decline in home sales gross margin, the 20.1% result was better than we had anticipated. Home sales gross margin was 19.7% when excluding a favorable litigation outcome and lower warranty costs than typical. This was still somewhat better than we expected even when adjusting for the one-time benefits. Deliveries (19,486) were light compared to Street (19,941). However, we note that ASP was modestly better than we and Street expected at $362K versus the $361K consensus. Regardless, this ASP is still down 3% over the comparable quarter. The quarter had a negative impact on trailing twelve-month ROE, which now sits at 13.2% compared to 13.7% last quarter.

Management Lowers Top End of FY26 Guidance Range. The company took down the top end of its 2026 revenue and closings guide, which was not surprising to us. However, all things considered, the guidance cut was fairly modest, in our view. The company now expects to close between 86K-87.5K homes (prev. 86K-88K homes, Street: 86K). This translates to consolidated revenues in the $33.5-$34.5 billion range (prev. $33.5-$35.0 billion, Street $33.2 billion). All other areas of the 2026 guide remained unchanged, including cash flow from operations of $3.0 billion.

Quarterly Guidance. During the call, the company provided guidance for its fiscal 3Q. This includes consolidated revenues in the range of $8.8-$9.3 billion (Street $8.9 billion). Home sales gross margin was guided to 19.7%-20.2% (Street 19.0%), with consolidated pretax margin of between 12.2%-12.7%. In terms of other 3Q commentary, management mentioned on the call that some easing on stick and brick should help them in the back half of the year, with that being offset somewhat by some increases in land costs.

Regional Performance; North Performance Reflective of Continued Investment. The North saw the best performance y/y, with new orders up a significant 22% y/y and deliveries

EPS	2025A	2026E			2027E		
FYE Sep		New	Old	Cons	New	Old	Cons
Q1	$2.61	$2.03	*$1.96*	--	$2.30	*$2.23*	--
Q2	$2.58	$2.24	*$2.09*	--	$2.73	*$2.92*	--
Q3	$3.36	$2.98	*$2.93*	--	$3.47	*$3.71*	--
Q4	$3.04	$3.31	*$3.12*	--	$3.61	*$3.44*	--
Year	$11.57	$10.53	*$10.05*	$10.48	$12.08	*$12.25*	$11.68
P/E	14.0x	15.4x			13.4x		

up 9% y/y. This was a continuation of last quarter's trend as well. Note that this is a fairly broad geographic region and includes some of the northern Midwest states all the way through the Middle Atlantic and Northeast. From an ASP perspective, the Northwest closings ASP was up modestly and the only region seeing positive price growth. However, note that new order ASP did flip modestly negative.

Margins Getting Some Help on Building Materials. As mentioned above, management talked on the call about stick and brick benefits recently. This impacted the quarter and the company expects to continue in the back half of the year. On a y/y basis, stick and brick costs were down 4%, or down 2% sequentially. There was some reference to land deal renegotiation, which seems to have brought down the pace of land cost increases, but lot costs were still up 4% y/y.

Developer Lot Sourcing Model Allows for Some Flexibility; We Expect More Scrutiny on Land Sourcing Given Peer Developments. On the call, the company talked about being able to renegotiate option contracts with some land sellers. We reiterate that this is a key feature of the traditional land option model. While builders can walk away when necessary to do so, a common first step is trying to renegotiate the purchase terms for these land deals. Land sellers are at least somewhat incentivized to do this, as it can be hard to find another buyer for a particular tract of land. This dynamic can give builders some leverage to renegotiate land deals and help ease land cost gains. We like the flexibility that the developer option model provides companies such as DHI and view that more favorably than some other land sourcing methods such as land banking, which in our view can have stricter terms.

Rental Business a Question Mark Given Recent Political Scrutiny. While this is a relatively small portion of DHI's business, it is still worth mentioning that the rental business does face some notable political headwinds, in our view. Recent legislation has targeted institutional ownership of single family rental homes. This would directly impact DHI and, in our view, effectively eliminate the customer base for that business. These units could be offered as for sale units, but nonetheless, we think the political overhang will modestly impact stocks in our coverage with build-to-rent exposure. As previously stated, this is a small minority of total DHI business and not a key results driver, in our view, over the foreseeable future.

TRUIST
Truist Securities

Jonathan Bettenhausen
Jonathan.bettenhausen@truist.com
404-439-7629

Last Updated: 4/21/2026
"Required Disclosures" can be found on the last tab of this workbook

D.R. Horton

Income Statement
$ millions

	2019	2020	2021	2022	2023	2024	1Q	2Q	3Q	4Q	2025	1Q	2Q	3QE	4QE	2026E	2027E
Revenues:																	
Homebuilding	$17,016.8	$19,643.9	$26,604.5	$31,923.2	$31,743.3	$33,961.9	$7,167.2	$7,202.9	$8,580.8	$8,564.4	$31,515.3	$6,528.9	$7,063.2	$8,643.6	$9,314.6	$31,550.3	$32,895.3
Rental	$0.0	$0.0	$212.9	$510.2	$2,605.6	$1,685.1	$217.8	$236.6	$380.7	$805.4	$1,640.5	$109.5	$211.8	$266.5	$563.8	$1,151.6	$1,036.4
Forestar	$428.4	$931.8	$1,325.8	$1,519.1	$1,436.8	$1,509.5	$250.4	$351.0	$390.5	$670.5	$1,662.4	$273.0	$374.3	$390.5	$670.5	$1,708.3	$1,708.3
Financial Services	$441.7	$584.9	$823.5	$794.9	$801.4	$882.5	$182.3	$212.9	$227.8	$218.3	$841.3	$184.6	$192.8	$211.9	$203.0	$792.3	$808.1
Eliminations and Other	-$326.7	-$887.4	-$1,238.4	-$1,267.5	-$1,126.8	-$1,237.5	-$204.7	-$269.4	-$354.1	-$580.8	-$1,409.0	-$209.1	-$284.0	-$371.8	-$609.8	-$1,474.7	-$1,519.0
Total Revenues	**$17,592.9**	**$20,311.1**	**$27,774.2**	**$33,479.9**	**$35,460.3**	**$36,801.5**	**$7,613.0**	**$7,734.0**	**$9,225.7**	**$9,677.8**	**$34,250.5**	**$6,886.9**	**$7,558.1**	**$9,140.7**	**$10,142.0**	**$33,727.7**	**$34,929.1**
Y/Y Growth	*9.5%*	*15.5%*	*36.7%*	*20.5%*	*5.9%*	*3.8%*	*-1.5%*	*-15.1%*	*-7.4%*	*-3.2%*	*-6.9%*	*-9.5%*	*-2.3%*	*-0.9%*	*4.8%*	*-1.5%*	*3.6%*
Homebuilding	-$13,635.3	-$15,387.1	-$19,842.6	-$22,811.9	-$24,315.9	-$26,061.1	-$5,547.6	-$5,647.1	-$6,759.9	-$6,903.9	-$24,858.5	-$5,205.5	-$5,667.5	-$6,976.6	-$7,530.6	-$25,380.2	-$26,311.1
Rental	$0.0	$0.0	-$130.9	-$244.2	-$1,893.6	-$1,321.7	-$183.0	-$183.1	-$296.0	-$678.7	-$1,340.8	-$92.9	-$183.2	-$226.5	-$479.2	-$981.8	-$881.0
Forestar	-$362.8	-$813.7	-$1,096.6	-$1,195.1	-$1,132.8	-$1,150.0	-$195.4	-$271.8	-$310.8	-$520.8	-$1,298.8	-$218.0	-$294.1	-$310.8	-$520.8	-$1,343.7	-$1,366.2
Financial Services	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0
Eliminations and Other	$244.4	$789.6	$1,125.0	$1,275.4	$1,232.3	$1,266.7	$223.2	$268.2	$350.8	$522.3	$1,364.5	$224.2	$290.0	$353.9	$525.4	$1,393.5	$1,405.8
COGS	**-$13,721.0**	**-$15,373.3**	**-$19,899.2**	**-$22,975.8**	**-$26,110.0**	**-$27,266.1**	**-$5,702.8**	**-$5,833.8**	**-$7,016.5**	**-$7,581.1**	**-$26,134.2**	**-$5,292.2**	**-$5,854.8**	**-$7,160.0**	**-$8,005.2**	**-$26,312.2**	**-$27,152.5**
Y/Y Growth	*10.7%*	*12.0%*	*29.4%*	*15.5%*	*13.6%*	*4.4%*	*-0.3%*	*-13.9%*	*-4.2%*	*1.8%*	*-4.2%*	*-7.2%*	*0.4%*	*2.0%*	*5.6%*	*0.7%*	*3.2%*
SG&A	-$1,832.5	-$2,047.8	-$2,556.1	-$2,933.6	-$3,248.9	-$3,599.4	-$878.1	-$898.7	-$944.3	-$970.9	-$3,692.0	-$865.1	-$903.3	-$936.7	-$955.8	-$3,660.9	-$3,614.4
% of Sales	*10.4%*	*10.1%*	*9.2%*	*8.8%*	*9.2%*	*9.8%*	*11.5%*	*11.6%*	*10.2%*	*10.0%*	*10.8%*	*12.6%*	*12.0%*	*10.2%*	*9.4%*	*10.9%*	*10.3%*
Equity Earnings	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0					$0.0					$0.0	$0.0
Goodwill Impairment	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0					$0.0					$0.0	$0.0
Gain on Sale of Assets	$53.9	$59.6	$14.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0			$0.0	$0.0	$0.0	$0.0
Loss on Extinguishment of Debt	$0.0	$0.0	-$18.1	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0			$0.0	$0.0	$0.0	$0.0
Other Income (Expense)	$32.0	$33.5	$41.6	$59.3	$213.3	$348.7	$77.8	$65.6	$93.2	$79.0	$315.6	$68.5	$67.4	$93.2	$79.0	$308.1	$308.1
Earnings Before Taxes	**$2,125.3**	**$2,983.1**	**$5,356.4**	**$7,629.8**	**$6,314.7**	**$6,284.7**	**$1,109.9**	**$1,067.1**	**$1,358.1**	**$1,204.8**	**$4,739.9**	**$798.1**	**$867.4**	**$1,137.2**	**$1,260.0**	**$4,062.7**	**$4,470.4**
Margin	**12.1%**	**14.7%**	**19.3%**	**22.8%**	**17.8%**	**17.1%**	**14.6%**	**13.8%**	**14.7%**	**12.4%**	**13.8%**	**11.6%**	**11.5%**	**12.4%**	**12.4%**	**12.0%**	**12.8%**
Y/Y Growth	*3%*	*40%*	*80%*	*42%*	*-17%*	*0%*	*-11.0%*	*-30.2%*	*-24.5%*	*-29.5%*	*-25%*	*-28.1%*	*-18.7%*	*-16.3%*	*4.6%*	*-14%*	*10%*
Income Tax Expense	-$506.7	-$602.5	-$1,165.2	-$1,734.1	-$1,519.5	-$1,478.7	-$258.0	-$248.0	-$325.0	-$288.0	-$1,119.0	-$196.7	-$209.4	-$277.5	-$308.7	-$992.3	-$1,091.6
Tax Rate	*23.8%*	*20.2%*	*21.8%*	*22.7%*	*24.1%*	*23.5%*	*23.2%*	*23.2%*	*23.9%*	*23.9%*	*23.6%*	*24.6%*	*24.1%*	*24.4%*	*24.5%*	*24.4%*	*24.4%*
Net Income	**$1,618.6**	**$2,380.6**	**$4,191.2**	**$5,895.7**	**$4,795.2**	**$4,806.0**	**$851.9**	**$819.1**	**$1,033.1**	**$916.8**	**$3,620.9**	**$601.4**	**$658.0**	**$859.7**	**$951.3**	**$3,070.4**	**$3,378.8**
NCI	$0.0	-$6.9	-$15.4	-$38.1	-$49.5	-$49.5	-$7.0	-$8.7	-$8.5	-$11.5	-$35.7	-$6.6	-$10.1	-$8.5	-$11.5	-$36.7	-$36.7
Other Comprehensive Income																	
Net Income Attributable to DR Horton	**$1,618.6**	**$2,373.7**	**$4,175.8**	**$5,857.6**	**$4,745.7**	**$4,756.5**	**$844.9**	**$810.4**	**$1,024.6**	**$905.3**	**$3,585.2**	**$594.8**	**$647.9**	**$851.2**	**$939.8**	**$3,033.7**	**$3,342.1**
Margin	**9.2%**	**11.7%**	**15.0%**	**17.5%**	**13.4%**	**12.9%**	**11.1%**	**10.5%**	**11.1%**	**9.4%**	**10.5%**	**8.6%**	**8.6%**	**9.3%**	**9.3%**	**9.0%**	**9.6%**
Y/Y Growth	*11%*	*47%*	*76%*	*40%*	*-19%*	*0%*	*-10.8%*	*-30.9%*	*-24.3%*	*-29.5%*	*-25%*	*-29.6%*	*-20.1%*	*-16.9%*	*3.8%*	*-15%*	*10%*
Per Share Metrics:																	
Shares Outstanding																	
Basic	372.6	365.5	361.1	351.7	340.7	329.5	321.5	312.5	304.1	296.2	308.6	292.3	287.9	285.0	283.0	287.1	275.6
Diluted	377.4	370.2	365.8	354.8	343.4	331.6	323.3	314.0	304.9	297.4	309.9	293.3	289.0	286.0	284.0	288.1	276.6
Basic EPS	**$4.34**	**$6.49**	**$11.56**	**$16.65**	**$13.93**	**$14.44**	**$2.63**	**$2.59**	**$3.37**	**$3.06**	**$11.62**	**$2.03**	**$2.25**	**$2.99**	**$3.32**	**$10.57**	**$12.13**
Diluted EPS	**$4.29**	**$6.41**	**$11.41**	**$16.51**	**$13.82**	**$14.34**	**$2.61**	**$2.58**	**$3.36**	**$3.04**	**$11.57**	**$2.03**	**$2.24**	**$2.98**	**$3.31**	**$10.53**	**$12.08**
Y/Y Growth	*12.1%*	*49.5%*	*78.1%*	*44.0%*	*-16.4%*	*3.7%*	*-7.5%*	*-26.8%*	*-18.3%*	*-22.6%*	*-19.5%*	*-22.6%*	*-13.2%*	*-11.4%*	*8.7%*	*-9.0%*	*14.8%*

Source: Company data, Truist Securities

TRUIST
Truist Securities

D.R. Horton

Segment Model
$ millions

FYE Sep	2019	2020	2021	2022	2023	2024	1Q	2Q	3Q	4Q	2025	1Q	2Q	3QE	4QE	2026E	2027E
Homebuilding																	
Sales:	$17,016.8	$19,643.9	$26,604.5	$31,923.2	$31,743.3	$33,961.9	$7,167.2	$7,202.9	$8,580.8	$8,564.4	$31,515.3	$6,528.9	$7,063.2	$8,643.6	$9,314.6	$31,550.3	$32,895.3
Home Sales	$16,924.9	$19,560.8	$26,502.6	$31,861.7	$31,641.0	$33,903.7	$7,146.0	$7,180.9	$8,561.0	$8,544.0	$31,431.9	$6,512.7	$7,045.5	$8,623.8	$9,294.2	$31,476.2	$32,821.2
Land/Lot Sales and Other	$91.9	$83.1	$101.9	$61.5	$102.3	$58.2	$21.2	$22.0	$19.8	$20.4	$83.4	$16.2	$17.7	$19.8	$20.4	$74.1	$74.1
Cost of Sales:	$13,635.3	$15,387.1	$19,842.6	$22,811.9	$24,315.9	$26,061.1	$5,547.6	$5,647.1	$6,759.9	$6,903.9	$24,858.5	$5,205.5	$5,667.5	$6,976.6	$7,530.6	$25,380.2	$26,311.1
Home Sales	$13,507.0	$15,306.0	$19,748.5	$22,715.5	$24,201.3	$25,952.1	$5,522.0	$5,614.7	$6,691.0	$6,836.5	$24,664.2	$5,181.9	$5,628.7	$6,907.7	$7,463.2	$25,181.5	$26,112.4
Land/Lot Sales and Other	$75.1	$58.2	$69.3	$39.2	$53.9	$40.1	$13.8	$3.0	$17.0	$16.4	$50.2	$13.4	$13.3	$17.0	$16.4	$60.1	$60.1
Inventory and Land Option Charges	$53.2	$22.9	$24.8	$57.2	$60.7	$68.9	$11.8	$29.4	$51.9	$51.0	$144.1	$10.2	$25.5	$51.9	$51.0	$138.6	$138.6
Segment Gross Profit	$3,381.5	$4,256.8	$6,761.9	$9,111.3	$7,427.4	$7,900.8	$1,619.6	$1,555.8	$1,820.9	$1,660.5	$6,656.8	$1,323.4	$1,395.7	$1,667.0	$1,784.0	$6,170.1	$6,584.2
Margin	19.9%	21.7%	25.4%	28.5%	23.4%	23.3%	22.6%	21.6%	21.2%	19.4%	21.1%	20.3%	19.8%	19.3%	19.2%	19.6%	20.0%
Home Building Gross Profit	$3,417.9	$4,254.8	$6,754.1	$9,146.2	$7,439.7	$7,951.6	$1,624.0	$1,566.2	$1,870.0	$1,707.5	$6,767.7	$1,330.8	$1,416.8	$1,716.1	$1,831.0	$6,294.7	$6,708.8
Margin	20.2%	21.8%	25.5%	28.7%	23.5%	23.5%	22.7%	21.8%	21.8%	20.0%	21.5%	20.4%	20.1%	19.9%	19.7%	20.0%	20.4%
Y/Y Growth	3.4%	24.5%	58.7%	35.4%	-18.7%	6.9%	-2.7%	-20.1%	-15.5%	-19.0%	-14.9%	-18.1%	-9.5%	-8.2%	7.2%	-7.0%	6.6%
SG&A	$1,482.3	$1,603.6	$1,950.5	$2,186.7	$2,239.9	$2,553.3	$636.6	$637.8	$670.0	$678.5	$2,622.9	$632.5	$648.9	$700.1	$698.6	$2,680.1	$2,691.0
Margin	8.7%	8.2%	7.3%	6.8%	7.1%	7.5%	8.9%	8.9%	7.8%	7.9%	8.3%	9.7%	9.2%	8.1%	7.5%	8.5%	8.2%
Other (income)	-$9.5	-$11.7	-$13.3	-$16.2	-$78.9	-$107.6	-$29.9	-$17.0	-$36.0	-$18.7	-$101.6	-$17.2	-$11.1	-$10.0	-$10.0	-$48.3	-$40.0
Pretax income	$1,910.6	$2,664.8	$4,837.7	$6,940.7	$5,266.3	$5,455.0	$1,012.8	$934.9	$1,186.8	$1,000.6	$4,135.4	$708.0	$757.9	$976.8	$1,095.3	$3,538.1	$3,933.1
	11.2%	13.6%	18.2%	21.7%	16.6%	16.1%	14.1%	13.0%	13.8%	11.7%	13.1%	10.8%	10.7%	11.3%	11.8%	11.2%	12.0%
Rental																	
Sales:			$212.9	$510.2	$2,605.6	$1,685.1	$217.8	$236.6	$380.7	$805.4	$1,640.5	$109.5	$211.8	$266.5	$563.8	$1,151.6	$1,036.4
Rental Property Sales			$212.9	$510.2	$2,605.6	$1,685.1	$217.8	$236.6	$380.7	$805.4	$1,640.5	$109.5	$211.8	$266.5	$563.8	$1,151.6	$1,036.4
Cost of Sales:			$130.9	$244.2	$1,893.6	$1,321.7	$183.0	$183.1	$296.0	$678.7	$1,340.8	$92.9	$183.2	$226.5	$479.2	$981.8	$881.0
Rental Property Sales			$130.9	$243.5	$1,887.0	$1,315.9	$179.4	$182.8	$295.6	$675.7	$1,333.5	$92.9	$182.9				
Inventory and Land Option Charges			$0.0	$0.7	$6.6	$5.8	$3.6	$0.3	$0.4	$3.0	$7.3	$0.0	$0.3				
SG&A			$15.0	$91.1	$290.2	$236.2	$46.4	$58.0	$61.4	$79.4	$245.2	$46.9	$52.0	$40.0	$62.0	$200.9	$161.4
Margin			7.0%	17.9%	11.1%	14.0%	21.3%	24.5%	16.1%	9.9%	14.9%	42.8%	24.6%	15.0%	11.0%	17.4%	15.6%
Other			-$7.3	-$27.2	-$102.4	-$101.5	-$23.5	-$27.3	-$31.5	-$33.2	-$115.5	-$30.5	-$35.7	-$31.5	-$33.2	-$130.9	-$130.9
Pretax income			$74.3	$202.1	$524.2	$228.7	$11.9	$22.8	$54.8	$80.5	$170.0	$0.2	$12.3	$31.5	$55.8	$99.8	$125.0
			34.9%	39.6%	20.1%	13.6%	5.5%	9.6%	14.4%	10.0%	10.4%	0.2%	5.8%	11.8%	9.9%	8.7%	12.1%
Forestar																	
Sales:	$428.4	$931.8	$1,325.8	$1,519.1	$1,436.8	$1,509.5	$250.4	$351.0	$390.5	$670.5	$1,662.4	$273.0	$374.3	$390.5	$670.5	$1,708.3	$1,708.3
Land/Lot Sales and Other	$428.4	$931.8	$1,325.8	$1,519.1	$1,436.8	$1,509.5	$250.4	$351.0	$390.5	$670.5	$1,662.4	$273.0	$374.3	$390.5	$670.5	$1,708.3	$1,708.3
Cost of Sales:	$362.8	$813.7	$1,096.6	$1,195.1	$1,132.8	$1,150.0	$195.4	$271.8	$310.8	$520.8	$1,298.8	$218.0	$294.1	$310.8	$520.8	$1,343.7	$1,366.2
Land/Lot Sales and Other	$362.0	$812.9	$1,093.4	$1,182.6	$1,108.8	$1,145.8	$194.2	$270.9	$308.9	$517.5	$1,291.5	$217.2	$287.8			$505.0	$0.0
Inventory and Land Option Charges	$0.8	$0.8	$3.2	$12.5	$24.0	$4.2	$1.2	$0.9	$1.9	$3.3	$7.3	$0.8	$6.3			$7.1	$0.0
SG&A	$28.9	$45.8	$68.4	$93.6	$97.7	$118.5	$36.0	$38.4	$37.4	$42.7	$154.5	$36.5	$37.9	$37.4	$42.7	$154.5	$138.2
Margin	6.7%	4.9%	5.2%	6.2%	6.8%	7.9%	14.4%	10.9%	9.6%	6.4%	9.3%	13.4%	10.1%	9.6%	6.4%	9.0%	8.1%
Other	-$6.0	-$5.7	-$1.5	-$5.4	-$15.3	-$29.2	-$2.9	$0.1	-$1.3	-$6.1	-$10.2	-$2.3	-$1.6	-$1.3	-$6.1	-$11.3	-$11.3
Pretax income	$45.7	$78.2	$146.7	$235.8	$221.6	$270.2	$21.9	$40.7	$43.6	$113.1	$219.3	$20.8	$43.9	$43.6	$113.1	$221.4	$215.1
	10.7%	8.4%	11.1%	15.5%	15.4%	17.9%	8.7%	11.6%	11.2%	16.9%	13.2%	7.6%	11.7%	11.2%	16.9%	13.0%	12.6%
Financial Services																	
Sales:	$441.7	$584.9	$823.5	$794.9	$801.4	$882.5	$182.3	$212.9	$227.8	$218.3	$841.3	$184.6	$192.8	$211.9	$203.0	$792.3	$808.1
Financial Services	$441.7	$584.9	$823.5	$794.9	$801.4	$882.5	$182.3	$212.9	$227.8	$218.3	$841.3	$184.6	$192.8	$211.9	$203.0	$792.3	$808.1
Cost of Sales:	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0			$0.0	$0.0
Financial Services	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0			$0.0	$0.0
SG&A	$293.0	$364.7	$488.1	$547.6	$594.9	$672.4	$154.2	$160.3	$171.0	$166.0	$651.5	$145.0	$159.8	$154.7	$148.2	$607.7	$606.1
Margin	66.3%	62.4%	59.3%	68.9%	74.2%	76.2%	84.6%	75.3%	75.1%	76.0%	77.4%	78.5%	82.9%	73.0%	73.0%	76.7%	75.0%
Other	-$17.6	-$25.0	-$29.2	-$43.3	-$76.8	-$101.1	-$20.5	-$20.4	-$24.5	-$23.5	-$88.9	-$18.4	-$18.7	-$24.5	-$23.5	-$85.1	-$85.1
Pretax income	$166.3	$245.2	$364.6	$290.6	$283.3	$311.2	$48.6	$73.0	$81.3	$75.8	$278.7	$58.0	$51.7	$81.7	$78.3	$269.7	$287.1
	37.6%	41.9%	44.3%	36.6%	35.4%	35.3%	26.7%	34.3%	35.7%	34.7%	33.1%	31.4%	26.8%	38.6%	38.6%	34.0%	35.5%
Eliminations and Other																	
Sales:	-$326.7	-$887.4	-$1,238.4	-$1,267.5	-$1,126.8	-$1,237.5	-$204.7	-$269.4	-$354.1	-$580.8	-$1,409.0	-$209.1	-$284.0	-$371.8	-$609.8	-$1,474.7	-$1,519.0
Land/Lot Sales and Other	-$326.7	-$887.4	-$1,238.4	-$1,267.5	-$1,126.8	-$1,237.5	-$204.7	-$269.4	-$354.1	-$580.8	-$1,409.0	-$209.1	-$284.0	-$371.8	-$609.8	-$1,474.7	-$1,519.0
Cost of Sales:	-$244.4	-$789.6	-$1,125.0	-$1,275.4	-$1,232.3	-$1,266.7	-$223.2	-$268.2	-$350.8	-$522.3	-$1,364.5	-$224.2	-$290.0	-$353.9	-$525.4	-$1,393.5	-$1,405.8
Home Sales	-$8.3	-$58.7	-$140.2	-$198.0	-$248.5	-$262.9	-$53.3	-$49.8	-$62.2	-$62.0	-$227.3	-$52.7	-$63.5	-$65.3	-$65.1	-$246.6	-$258.9
Land/Lot Sales and Other	-$236.1	-$730.9	-$984.2	-$1,072.3	-$960.0	-$989.8	-$169.9	-$217.8	-$288.0	-$456.7	-$1,132.4	-$171.5	-$226.1	-$288.0	-$456.7	-$1,142.3	-$1,142.3
Rental Property Sales	$0.0	$0.0	-$0.6	-$5.1	-$12.7	-$14.0	$0.0	$0.0	-$0.6	-$3.6	-$4.2	-$0.2	-$0.4	-$0.6	-$3.6	-$4.8	-$4.8
Inventory and Land Option Charges	$0.0	$0.0	$0.0	$0.0	-$11.1	$0.0	$0.0	-$0.6	$0.0	$0.0	-$0.6	$0.2	$0.0	$0.0	$0.0	$0.2	$0.2
SG&A	$28.3	$33.7	$34.1	$14.6	$26.2	$19.0	$4.9	$4.2	$4.5	$4.3	$17.9	$4.2	$4.7	$4.5	$4.3	$17.7	$17.7
Other	$1.1	$8.9	$9.7	$32.8	$60.1	-$9.3	-$1.0	-$1.0	$0.1	$2.5	$0.6	-$0.1	-$0.3	$0.1	$2.5	$2.2	$2.2
Pretax income to be Eliminated	-$62.8	-$81.0	-$158.8	-$39.5	$19.2	$19.5	$14.6	-$4.4	-$7.9	-$65.3	-$63.0	$11.0	$1.6	-$22.5	-$91.2	-$101.1	-$133.0
	19.2%	9.1%	12.8%	3.1%	-1.7%	-1.6%	-7.1%	1.6%	2.2%	11.2%	4.5%	-5.3%	-0.6%	6.1%	15.0%	6.9%	8.8%

Source: Company data, Truist Securities

TRUIST
Truist Securities

D.R. Horton

Balance Sheet
$ millions

FYE Sep	2018	2019	2020	2021	2022	2023	2024	1Q	2Q	3Q	4Q	2025	1Q	2Q	2026E	2027E
Assets																
Consolidated:																
Cash and Equivalents	**$1,473.1**	**$1,494.3**	**$3,018.5**	**$3,210.4**	**$2,540.5**	**$3,873.6**	**$4,516.4**	$3,050.1	$2,471.4	$2,614.0	$2,985.4	**$2,985.4**	$2,506.3	$1,917.9		
Restricted Cash	**$32.9**	**$19.7**	**$21.6**	**$26.8**	**$32.4**	**$26.5**	**$27.6**	$18.9	$46.7	$50.9	$47.9	**$47.9**	$46.7	$56.3		
Inventories	**$10,395.0**	**$11,282.0**	**$12,237.4**	**$16,479.1**	**$21,655.7**	**$22,373.3**	**$24,903.2**	$26,080.5	$26,482.4	$26,726.1	$25,287.3	**$25,287.3**	$25,606.0	$26,303.8		
Goods	**$5,086.3**	**$5,245.0**	**$5,984.1**	**$7,739.2**	**$9,798.2**	**$9,001.4**	**$8,875.8**	$8,701.4	$8,651.3	$9,024.3	$7,648.5	**$7,648.5**	$7,270.7	$8,551.7		
Residential Land and Lots	**$5,308.7**	**$6,037.0**	**$6,253.3**	**$7,918.1**	**$9,313.3**	**$10,680.6**	**$13,121.4**	$14,390.2	$14,713.0	$14,569.4	$14,935.5	**$14,935.5**	$15,451.3	$14,751.6		
Rental Properties				**$821.8**	**$2,544.2**	**$2,691.3**	**$2,906.0**	$2,988.9	$3,118.1	$3,132.4	$2,703.3	**$2,703.3**	$2,884.0	$3,000.5		
Investment In JV	**$11.0**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	**$0.0**	$0.0	$0.0	$0.0	$0.0	**$0.0**				
Mortgage Loans Held for Sale	**$796.4**	**$1,072.0**	**$1,529.0**	**$2,027.3**	**$2,386.0**	**$2,519.9**	**$2,477.5**	$1,794.4	$2,455.0	$2,767.7	$2,566.5	**$2,566.5**	$1,908.8	$2,680.8		
Deferred Income Taxes	**$194.0**	**$163.1**	**$144.9**	**$155.3**	**$141.1**	**$187.2**	**$167.5**	$127.4	$74.6	$66.5	$44.5	**$44.5**	$25.0	$0.0		
Net PP&E	**$401.1**	**$462.2**	**$683.7**	**$392.9**	**$471.6**	**$445.4**	**$531.0**	$524.2	$536.5	$559.7	$578.9	**$578.9**	$582.0	$593.1		
Other Assets	**$701.9**	**$949.8**	**$1,113.7**	**$1,560.6**	**$2,960.3**	**$2,993.0**	**$3,317.6**	$3,270.7	$3,459.9	$3,447.5	$3,797.2	**$3,797.2**	$3,801.3	$3,851.5		
Goodwill	**$109.2**	**$163.5**	**$163.5**	**$163.5**	**$163.5**	**$163.5**	**$163.5**	$163.5	$163.5	$163.5	$163.5	**$163.5**	$163.5	$163.5		
Total Assets	**$14,114.6**	**$15,606.6**	**$18,912.3**	**$24,015.9**	**$30,351.1**	**$32,582.4**	**$36,104.3**	**$35,029.7**	**$35,690.0**	**$36,395.9**	**$35,471.2**	**$35,471.2**	**$34,639.6**	**$35,566.9**	**$35,880.5**	**$35,642.0**
Liabilities																
Consolidated																
Accounts Payable	**$624.7**	**$634.0**	**$900.5**	**$1,177.0**	**$1,360.3**	**$1,246.2**	**$1,345.5**	$1,372.6	$1,373.8	$1,388.8	$1,221.9	**$1,221.9**	$1,026.0	$1,323.5		
Accrued Expenses and Other	**$1,127.5**	**$1,278.1**	**$1,607.0**	**$2,210.3**	**$3,138.3**	**$3,103.8**	**$3,016.7**	$3,096.5	$2,939.1	$3,165.4	$3,541.6	**$3,541.6**	$3,510.9	$3,480.6		
Notes Payable	**$3,203.5**	**$3,399.4**	**$4,283.3**	**$5,412.4**	**$6,066.9**	**$5,094.5**	**$5,917.7**	$5,097.7	$6,518.4	$7,248.7	$5,965.5	**$5,965.5**	$5,547.3	$6,563.8		
Total Liabilities	**$4,955.7**	**$5,311.5**	**$6,790.8**	**$8,799.7**	**$10,565.5**	**$9,444.5**	**$10,279.9**	**$9,566.8**	**$10,831.3**	**$11,802.9**	**$10,729.0**	**$10,729.0**	**$10,084.2**	**$11,367.9**	**$11,472.0**	**$11,559.6**
Equity																
Stockholders Equity	**$8,984.4**	**$10,020.9**	**$11,840.0**	**$14,886.5**	**$19,396.3**	**$22,696.2**	**$25,312.8**	$24,943.9	$24,327.1	$24,052.9	$24,190.4	**$24,190.4**	$23,995.5	$23,625.8	**$23,849.0**	**$23,522.9**
NCI	**$174.5**	**$274.2**	**$281.5**	**$329.7**	**$389.3**	**$441.7**	**$511.6**	$519.0	$531.6	$540.1	$551.8	**$551.8**	$559.5	$573.2	**$559.5**	**$559.5**
Total Equity	**$9,158.9**	**$10,295.1**	**$12,121.5**	**$15,216.2**	**$19,785.6**	**$23,137.9**	**$25,824.4**	**$25,462.9**	**$24,858.7**	**$24,593.0**	**$24,742.2**	**$24,742.2**	**$24,555.0**	**$24,199.0**	**$24,408.5**	**$24,082.4**
Total Liabilities and Equity	**$14,114.6**	**$15,606.6**	**$18,912.3**	**$24,015.9**	**$30,351.1**	**$32,582.4**	**$36,104.3**	**$35,029.7**	**$35,690.0**	**$36,395.9**	**$35,471.2**	**$35,471.2**	**$34,639.2**	**$35,566.9**	**$35,880.5**	**$35,642.0**

Source: Company data, Truist Securities

Company Description

D.R. Horton, Inc. (DHI) is the largest homebuilder in the US by both revenue and closings, with its built-for-sale volume of about 85K homes, and another several thousand units constructed through its built-for-rent business. The company's geographic footprint is fairly all encompassing, with homebuilding operations in all of the major US Census Bureau regions. Product mix tends to fall towards the lower end of our coverage, but DHI has numerous product offerings, which span a wide range of buyer price points.

Investment Thesis

We are Hold rated on DHI. While we like the company's land portfolio and attractive cash generating properties, we cannot justify a substantial uptick in valuation without a turnaround in group fundamentals. We remain on the sidelines, but could be buyers if demand conditions improve or ROE expands beyond our current projections. Our Base case scenario implies some downside to P/B multiples when factoring in our FY2 ROE projections.

Valuation and Risks

Our $150 price target is derived from a 12.4x multiple applied to our 2027 EPS estimate and a 1.8x P/B multiple. We use a regression analysis on the broader homebuilding group to calculate what we believe to be fair value P/B for our DHI ROE outlook.

Upside risks to our rating and price target include a substantially better environment in 2026 that results in a faster turnaround than we have modeled. Downside risks to our price target and rating include a meaningful deterioration in the US housing market, political pressure to flood the market with supply and thus pressuring home prices, and also a tough land environment that would make it more difficult to efficiently allocate capital.

Companies Mentioned in This Note

D.R. Horton, Inc. (DHI, $162.20, Hold, Jonathan Bettenhausen)

Analyst Certification

I, Jonathan Bettenhausen , hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company(ies) and its (their) securities. I also certify that I have not been, am not, and will not be receiving direct or indirect compensation in exchange for expressing the specific recommendation(s) in this report.

Required Disclosures

Truist Securities, Inc. or an affiliate has received compensation for non-securities related services within the last 12 months: DHI-US

The following company is a client of Truist Securities, Inc. for investment banking services within the last 12 months: DHI-US

Truist Securities, Inc. or an affiliate has received compensation for investment banking services within the last 12 months: DHI-US

The following company is a client of Truist Securities, Inc. for non-investment banking securities-related services within the last 12 months: DHI-US

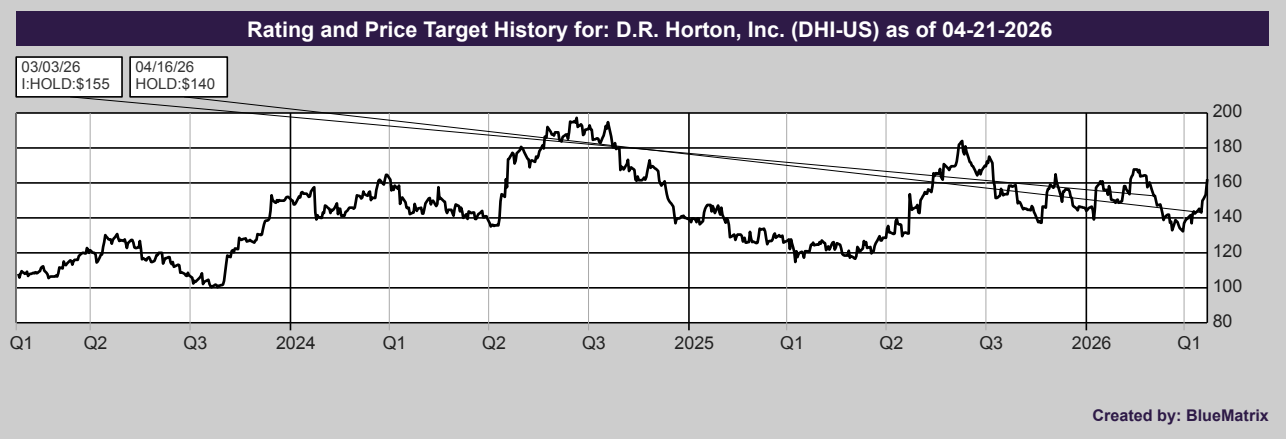
Truist Securities, Inc. or an affiliate has received compensation for non-investment banking services within the last 12 months: DHI-US

The following company is a client of Truist Securities, Inc. for non-securities-related services within the last 12 months: DHI-US

Truist Securities, Inc. or an affiliate managed or co-managed a securities offering for the following company within the last 12 months: DHI-US

Analyst compensation is based upon stock price performance, quality of analysis, communication skills, and the overall revenue and profitability of the firm, including investment banking revenue.

As a matter of policy and practice, the firm prohibits the offering of favorable research, a specific research rating or a specific target price as consideration or inducement for the receipt of business or compensation. In addition, associated persons preparing research reports are prohibited from owning securities in the subject companies.



Important Disclosures on Equity Research Dissemination, Ratings, Designations, and Coverage Universe

Dissemination of Research

Truist Securities, Inc. ("Truist Securities") seeks to make all reasonable efforts to provide research reports simultaneously to all eligible clients. Reports are available as published in the restricted access area of our website to all eligible clients who have requested a password. Institutional investors, corporates, and members of the Press may also receive our research via third party vendors including: Thomson Reuters, Bloomberg, FactSet, and S&P Capital IQ. Additional distribution may be done by sales personnel via email, fax, or other electronic means, or regular mail.

For access to third party vendors or our Research website: https://truistresearch.bluematrix.com/client/library.jsp

Please email the Research Department at EquityResearchDepartment@truist.com or contact your Truist Securities sales representative.

Truist Securities Rating System for Equity Securities

Truist Securities, Inc. ("Truist Securities") rates individual equities using a three-tiered system. Each stock is rated relative to the broader market (generally the S&P 500) over the next 12-18 months (unless otherwise indicated).

Buy (B) – the stock's total return is expected to outperform the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Hold (H) – the stock's total return is expected to perform in line with the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Sell (S) – the stock's total return is expected to underperform the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Not Rated (NR) – Truist Securities does not have an investment rating or opinion on the stock

Coverage Suspended (CS) – indicates that Truist Securities' rating and/or target price have been temporarily suspended due to applicable regulations and/or Truist Securities Management discretion. The previously published rating and target price should not be relied upon.

Truist Securities analysts have a price target on the stocks that they cover, unless otherwise indicated. The price target represents that analyst's expectation of where the stock will trade in the next 12-18 months (unless otherwise indicated). If an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Truist Securities Research Management not to assign a target price; likewise certain stocks that trade under $5 may exhibit volatility whereby assigning a price target would be unhelpful to making an investment decision. As such, with Research Management's approval, an analyst may refrain from assigning a target to a sub-$5 stock.

Legend for Rating and Price Target History Charts:

B = Buy

H = Hold

S = Sell

D = Drop Coverage

CS = Coverage Suspended

NR = Not Rated

I = Initiate Coverage

T = Transfer Coverage

Truist Securities ratings distribution (as of 04/21/2026):

Coverage Universe			Investment Banking Clients Past 12 Months		
Rating	**Count**	**Percent**	**Rating**	**Count**	**Percent**
Buy	501	66.45%	Buy	115	22.95%
Hold	251	33.29%	Hold	51	20.32%
Sell	2	0.27%	Sell	1	50.00%

Other Disclosures

Certain information contained herein has been derived from third-party sources believed to be reliable but is not guaranteed as to accuracy and does not purport to be a complete analysis of the security, company or industry involved. This report is not to be construed as an offer to sell or a solicitation of an offer to buy any security. Truist Securities, Inc. and/or its officers or employees may have positions in any securities, options, rights or warrants. The firm and/or associated persons may sell to or buy from customers on a principal basis. Investors may be prohibited in certain states from purchasing some over the-counter securities mentioned herein. Opinions expressed are subject to change without notice.

Truist Securities, Inc.'s research is primarily provided to and intended for use by Institutional Accounts as defined in FINRA Rule 4512(c). The term "Institutional Account" shall mean the account of: (1) a bank, savings and loan association, insurance company or registered investment company; (2) an investment adviser registered either with the SEC under Section 203 of the Investment Advisers Act or with a state securities commission (or any agency or office performing like functions); or (3) any other person (whether a natural person, corporation, partnership, trust or otherwise) with total assets of at least $50 million. In addition, certain affiliates of Truist Securities, Inc., including Truist Investment Services, Inc. (an SEC registered broker-dealer and a member of FINRA, SIPC) and Truist Advisory Services, Inc. (an investment adviser registered with the SEC), may make Truist Securities, Inc. research available, upon request, to certain of their clients from time to time.

Truist Securities, Inc. is a registered broker-dealer and a member of FINRA and SIPC. It is a service mark of Truist Financial Corporation. Truist Securities, Inc. is owned by Truist Financial Corporation and affiliated with Truist Investment Services, Inc. Despite this affiliation, securities recommended, offered, sold by, or held at Truist Securities, Inc. or Truist Investment Services, Inc. (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Truist Bank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. Truist Bank may have a lending relationship with companies mentioned herein. Certain clients may compensate Truist Securities, Inc. for research via hard dollar payments, and Truist Securities, Inc. may be deemed to be an investment adviser to such clients as a result of such payments.

Please see our Disclosure Database to search by ticker or company name for the current required disclosures, including valuation and risks. Link: https://truist.bluematrix.com/sellside/Disclosures.action

Please visit the Truist Securities Equity Research Portal for coverage universe, current reports, and analyst roster with contact information. Link: https://truist-portal.bluematrix.com

Truist Securities, Inc., member FINRA and SIPC. Truist, Truist Bank, Truist Securities, Truist Investment Services, and Truist Advisory Services are service marks of Truist Financial Corporation.

If you no longer wish to receive this type of communication, please request removal by sending an email to EquityResearchDepartment@truist.com

© Truist Securities, Inc. 2026. All rights reserved. Reproduction or quotation in whole or part without permission is forbidden. Without Truist Securities' prior written consent, the contents of this report may not be used, in whole or in part, in connection with the training, development, fine-tuning or operation of a machine learning or artificial intelligence system, tool or application.

ADDITIONAL INFORMATION IS AVAILABLE at our website, TruistSecurities.com, or by writing to: Truist Securities, Research Department, 740 Battery Avenue SE, 3rd Floor, Atlanta, GA 30339-3107

D.R. Horton Inc. (DHI)

F2Q26 Recap: Strategic Execution Supports Profitability, With Upside Should Volumes Recover

DHI	12m Price Target: **$190.00**	Price: **$153.34**	Upside: **23.9%**

Operational Efforts Underway Despite Ongoing Macro Headwinds: We are encouraged by DHI's commentary and outlook for the second half of F2026 as it suggests upside to margins and EPS. More specifically, we highlight: 1) normal seasonality in demand in the quarter and April, 2) fairly stable incentive levels, and 3) expectations for further stick-and-brick savings to offset land inflation along with SG&A leverage. On the call, management noted a 35% YOY reduction in completed specs, consistent with trends in the broader market, helping to stabilize overall operating conditions. As this, along with further reductions in build costs come through, we believe gross margins are at—or close to— a trough. Should consumers gain greater confidence in the coming months, we see a path to improved profitability as the further YOY reduction in cycle times provides increased flexibility in closings. Finally, we highlight the guide for $3.0+bn of CFO this year was reiterated allowing for ample investments in growth as well as shareholder returns. The company is running ahead on plans to buyback $2.5bn of stock this year, as management took advantage of the pullback in March, and we believe there could be upside should the valuation become especially compelling again. Given the set-up, we maintain our Buy rating.

Seasonal Demand Patterns Hold, Suggesting Upside to Orders in the Spring: Given the recent geopolitical events, consumer sentiment was a focus of the call. Despite buyers' cautious outlook, we are encouraged as management noted demand followed normal seasonal patterns in the quarter and the first few weeks of April, with cancellations also stable in F2Q. This comes as our channel checks found pockets of greater weakness as consumers responded to the conflict in the Middle East. Incentives rose modestly in the quarter but held at ~10% of revenues vs F1Q, with DHI expecting they will stay elevated until rates moderate and consumer confidence improves. More specifically, 90% of buyers through DHI's mortgage program had some form of permanent or temporary rate

BUY

Susan Maklari
+1(212)357-3906 | susan.maklari@gs.com
Goldman Sachs & Co. LLC

Charles Perron-Piche, CFA
+1(917)343-1847 | charles.perron-piche@gs.com
Goldman Sachs & Co. LLC

Rhea Bhatia
+1(332)245-7517 | rhea.bhatia@gs.com
Goldman Sachs India SPL

Key Data

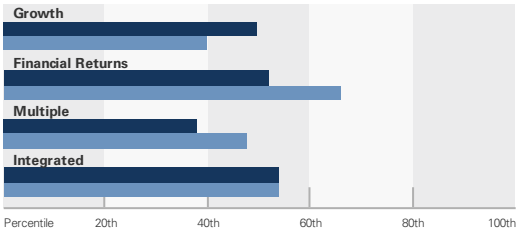
Market cap: $44.3bn
Enterprise value: $47.4bn
3m ADTV: $425.0mn
United States
Americas Homebuilders & Building Products
M&A Rank: 3

GS Forecast

	9/25	9/26E	9/27E	9/28E
Revenue ($ mn) New	**34,250.5**	**34,077.3**	**36,336.2**	**38,522.4**
Revenue ($ mn) Old	34,250.5	33,718.4	35,219.0	37,190.8
EBITDA ($ mn)	4,909.8	4,348.0	4,663.6	5,019.6
EBIT ($ mn)	4,808.5	4,239.5	4,555.4	4,905.0
EPS ($) New	**11.57**	**10.80**	**12.30**	**14.20**
EPS ($) Old	11.57	10.20	12.00	14.00
P/E (X)	12.6	14.2	12.5	10.8
Dividend yield (%)	1.1	1.2	1.3	1.4
Net debt/EBITDA (X)	0.5	0.6	0.6	0.7

	3/26	6/26E	9/26E	12/26E
EPS ($)	2.24	3.01	3.56	2.39

GS Factor Profile



DHI relative to Americas Coverage
DHI relative to Americas Homebuilders & Building Products

Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html. Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

BUY

D.R. Horton Inc. (DHI)

Rating since Oct 16, 2023

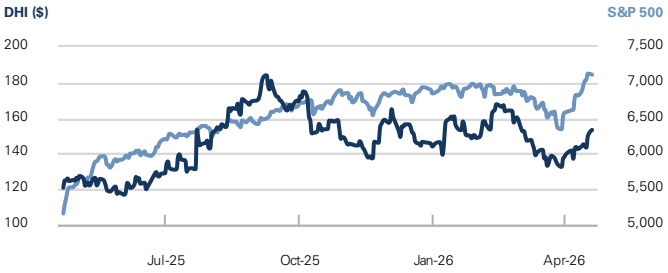
Ratios & Valuation

	9/25	9/26E	9/27E	9/28E
P/E (X)	12.6	14.2	12.5	10.8
EV/EBITDA (X)	9.8	10.8	9.6	8.5
EV/sales (X)	1.4	1.4	1.2	1.1
FCF yield (%)	7.3	7.0	7.0	7.3
EV/DACF (X)	11.5	13.4	12.3	11.0
CROCI (%)	21.8	18.4	18.6	19.0
ROE (%)	14.5	12.9	13.8	14.7
Net debt/EBITDA (X)	0.5	0.6	0.6	0.7
Net debt/equity (%)	9.4	10.4	11.1	13.4
Interest cover (X)	69.5	48.7	53.6	59.3
Inventory days	313.3	311.6	295.4	289.9
Receivable days	NM	NM	NM	NM
Days payable outstanding	13.1	14.2	14.0	14.3

Growth & Margins (%)

	9/25	9/26E	9/27E	9/28E
Total revenue growth	(6.9)	(0.5)	6.6	6.0
EBITDA growth	(23.4)	(11.4)	7.3	7.6
EPS growth	(19.4)	(6.6)	13.8	15.5
DPS growth	33.3	12.5	8.9	6.1
Gross margin	24.2	22.9	22.7	22.8
EBIT margin	14.0	12.4	12.5	12.7

Price Performance



	3m	6m	12m
Absolute	0.1%	(0.3)%	26.5%
Rel. to the S&P 500	(4.3)%	(5.5)%	(6.0)%

Source: FactSet. Price as of 20 Apr 2026 close.

Income Statement ($ mn)

	9/25	9/26E	9/27E	9/28E
Total revenue	34,250.5	34,077.3	36,336.2	38,522.4
Cost of goods sold	(25,969.4)	(26,280.7)	(28,070.2)	(29,752.7)
SG&A	(3,692.0)	(3,741.6)	(3,876.6)	(4,041.7)
R&D	–	–	–	–
Other operating inc./(exp.)	219.4	184.5	166.0	177.0
EBITDA	**4,909.8**	**4,348.0**	**4,663.6**	**5,019.6**
Depreciation & amortization	(101.3)	(108.5)	(108.2)	(114.6)
EBIT	**4,808.5**	**4,239.5**	**4,555.4**	**4,905.0**
Net interest inc./(exp.)	(69.2)	(87.0)	(85.0)	(82.7)
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**4,739.3**	**4,152.5**	**4,470.4**	**4,822.3**
Provision for taxes	(1,119.0)	(1,015.4)	(1,095.2)	(1,181.5)
Minority interest	(35.7)	(36.7)	(39.4)	(42.5)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**3,584.6**	**3,100.4**	**3,335.7**	**3,598.3**
Net inc. (post-exceptionals)	**3,584.6**	**3,100.4**	**3,335.7**	**3,598.3**
EPS (basic, pre-except) ($)	**11.57**	**10.80**	**12.30**	**14.20**
EPS (diluted, pre-except) ($)	**11.57**	**10.80**	**12.30**	**14.20**
EPS (ex-ESO exp., dil.) ($)	**--**	**--**	**--**	**--**
DPS ($)	1.60	1.80	1.96	2.08
Div. payout ratio (%)	13.8	16.7	15.9	14.6
Wtd avg shares out. (basic) (mn)	309.9	287.1	271.3	253.4
Wtd avg shares out. (diluted) (mn)	309.9	287.1	271.3	253.4

Balance Sheet ($ mn)

	9/25	9/26E	9/27E	9/28E
Cash & cash equivalents	3,033.3	2,546.2	1,838.1	908.7
Accounts receivable	–	–	–	–
Inventory	22,584.0	22,282.5	23,153.3	24,112.0
Other current assets	–	–	–	–
Total current assets	**25,617.3**	**24,828.7**	**24,991.4**	**25,020.6**
Net PP&E	574.0	636.2	699.2	760.9
Net intangibles	163.5	163.5	163.5	163.5
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	6,415.8	6,527.0	6,527.0	6,527.0
Total assets	**35,471.2**	**35,291.0**	**35,216.8**	**35,307.6**
Accounts payable	991.3	1,046.6	1,111.6	1,213.6
Short-term debt	–	–	–	–
Current lease liabilities	65.6	65.6	65.6	65.6
Other current liabilities	3,441.3	3,373.8	3,373.8	3,373.8
Total current liabilities	**4,498.2**	**4,486.0**	**4,551.0**	**4,653.0**
Long-term debt	5,365.5	5,098.8	4,598.8	4,298.8
Non-current lease liabilities	–	–	–	–
Other long-term liabilities	–	–	–	–
Total long-term liabilities	**5,365.5**	**5,098.8**	**4,598.8**	**4,298.8**
Total liabilities	**10,729.0**	**10,694.3**	**10,259.3**	**10,061.3**
Preferred shares	–	–	–	–
Total common equity	**24,190.4**	**24,023.5**	**24,384.3**	**24,673.1**
Minority interest	551.8	573.2	573.2	573.2
Total liabilities & equity	**35,471.2**	**35,291.0**	**35,216.8**	**35,307.6**
BVPS ($)	79.84	85.69	92.00	99.63

Cash Flow ($ mn)

	9/25	9/26E	9/27E	9/28E
Net income	3,620.9	3,117.1	3,335.7	3,598.3
D&A add-back	101.3	108.5	108.2	114.6
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(713.6)	(224.0)	(505.8)	(856.7)
Others	412.3	241.7	138.4	138.4
Cash flow from operations	**3,420.9**	**3,243.3**	**3,076.5**	**2,994.6**
Capital expenditures	(137.4)	(164.6)	(170.0)	(175.0)
Acquisitions	(53.1)	(87.9)	–	–
Divestitures	–	–	–	–
Others	21.8	(8.5)	(1.2)	(1.2)
Cash flow from investing	**(168.7)**	**(261.0)**	**(171.2)**	**(176.2)**
Dividends paid	(494.8)	(515.9)	(531.7)	(527.1)
Share issuance/(repurchase)	(4,281.6)	(2,874.3)	(2,581.7)	(2,920.8)
Inc/(dec) in debt	3.7	(18.0)	(500.0)	(300.0)
Others	9.8	(61.2)	–	–
Cash flow from financing	**(4,762.9)**	**(3,469.4)**	**(3,613.4)**	**(3,747.8)**
Total cash flow	**(1,510.7)**	**(487.1)**	**(708.1)**	**(929.4)**
Free cash flow	3,283.5	3,078.7	2,906.5	2,819.6
Free cash flow per share (basic) ($)	10.60	10.73	10.71	11.13

Source: Company data, Goldman Sachs Research estimates.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

buy down. On closings, we note 73% had a rate buy down, including 10% that took ARMS, up from zero a year ago but down from 13% sequentially. Overall, management noted buyers continue to prefer fixed rates with ARMS expected to hold around 10-15%. Given the lack of visibility, starts are expected to decline sequentially in F3Q. This comes as the high-end of the F2026 closings guide was reduced by 500 units given the miss this quarter and expectations conditions will remain challenging in the back half. We model full year home sales revenues down 0.4% as 2.7% growth in closings is offset by ASP down 3.0%, with F3Q down 0.8% as closings and ASP are approximately in line with our F2026 estimates. That said, as cycle times continue to decline, we see potential upside to volumes should demand improve ahead of our expectations in the coming months.

Cost Reductions Help Offset Elevated Incentives: On the call, management noted efforts to reduce costs are coming through with further improvement expected in the back half. We note all inputs were flat to down this quarter with savings led by labor, in line with the company's goals, especially in framing. Reductions in other areas are expected to start to come through to results in F3Q/4Q. On a per square foot basis, stick-and-brick costs were down 2% sequentially and 4% YOY while land was flat vs F1Q and up 4% YOY. We are encouraged by the move in input costs as well as the guide for further reductions in coming quarters. The company hasn't seen any tangible impact of the recent rise in inflation, notably energy prices, though it is monitoring the situation. We agree with management's assessment that any change will depend on the magnitude and duration of the increase in oil prices. Cycle times were down one month YOY, including completion to close declining one week sequentially, providing greater flexibility. In the meantime, YOY growth in land costs are expected to stay in the mid-single digit range. On top of company-specific efforts, we note a meaningful lift in volumes vs our estimates would allow for greater operating leverage. DHI also noted the increase in ARMS isn't having a notable effect on margins. In line with conditions, we model the gross margin holding in the 19-20% range in upcoming quarters including F2027, with potential upside should demand recover. Finally, SG&A/sales reflects the decline in ASP though it is expected to improve with volumes in 2H. We also look for modest leverage in F2027 on the back of community count growth moderating to 4.8% from 9.7% this year. As such, we forecast the F3Q consolidated pre-tax margin at 12.5%, the mid-point of the 12.2-12.7% guide, with the full year at 12.2%, down 165bps YOY.

Revising Estimates & Price Target, Maintain Buy Rating: Given updates to our model, our F2026 EPS estimate goes to $10.80 from $10.20, and F2027 is now $12.30 from $12.00. Our F2028 estimate goes to $14.20 from $14.00. With this, our 12-month price target goes to $190 from $172, which is based on 2.1x (was 1.9x) our NTM tangible book value estimate. The higher multiple reflects our increased confidence in management's ability to execute.

Updating Scenario Analysis: Over the next 12 months, our illustrative upside case implies a valuation of $224, which is 16.0x the F2027 EPS estimate. On the downside, our implied valuation is $143, which is 13.0x the F2027 EPS estimate. Given the current valuation, we see favorable risk/reward for DHI.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

Exhibit 1: DHI Upside/Downside Scenarios

F2027 Estimate	Downside Case	Base Case	Upside Case
Homebuilding Revenues	$31,628	$33,391	$34,585
YOY Change	0.9%	6.5%	10.3%
Homebuilding EBIT Margin	11.5%	12.4%	13.3%
Homebuilding EBIT	$3,637	$4,127	$4,593
Total EBT	$4,003	$4,470	$5,083
Share Count	271	271	271
Implied EPS	**$11.00**	**$12.30**	**$14.00**
YOY Change	(5%)	6%	21%
P/E Valuation			
P/E Multiple	13.0x	15.5x	16.0x
Implied Valuation	**$143**	**$190**	**$224**
Return	(13%)	16%	37%

Source: Goldman Sachs Global Investment Research, Company data

Downside Risks Include: 1) rising mortgage rates and macro uncertainty result in lower consumer confidence, 2) greater than expected inflation in land, labor, or materials could impact profitability, 3) incentives stay higher for longer, pressuring margins, and 4) delays or limitations around permitting, inspections, and other municipal events.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

Disclosure Appendix

Reg AC

We, Susan Maklari, Charles Perron-Piche, CFA, Rhea Bhatia and Galilee Best, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Susan Maklari Goldman Sachs & Co. LLC, Charles Perron-Piche, CFA Goldman Sachs & Co. LLC, Rhea Bhatia Goldman Sachs India SPL, Galilee Best Goldman Sachs & Co. LLC.

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for D.R. Horton Inc. is/are relative to the other companies in its/their coverage universe: A.O. Smith Corp., Alliance Laundry Holdings Inc., Armstrong World Industries Inc., Boise Cascade Co., Builders FirstSource Inc., CSW Industrials Inc., Carlisle Companies Inc., D.R. Horton Inc., Fortune Brands Innovations Inc., Installed Building Products Inc., JELD-WEN Holding, KB Home, Latham Group Inc., Lennar Corp., Louisiana-Pacific Corp., Masco Corp., Meritage Homes Corp., Mohawk Industries Inc., Owens Corning, Pool Corp., PulteGroup Inc., SiteOne Landscape Supply Inc., Toll Brothers Inc., Trex Company Inc., Weyerhaeuser Co., Whirlpool Corp., Worthington Enterprises Inc.

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: D.R. Horton Inc. ($153.34)

Goldman Sachs has received compensation for non-investment banking services during the past 12 months: D.R. Horton Inc. ($153.34)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: D.R. Horton Inc. ($153.34)

Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: D.R. Horton Inc. ($153.34)

Goldman Sachs had a non-securities services client relationship during the past 12 months with: D.R. Horton Inc. ($153.34)

Goldman Sachs makes a market in the securities or derivatives thereof: D.R. Horton Inc. ($153.34)

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

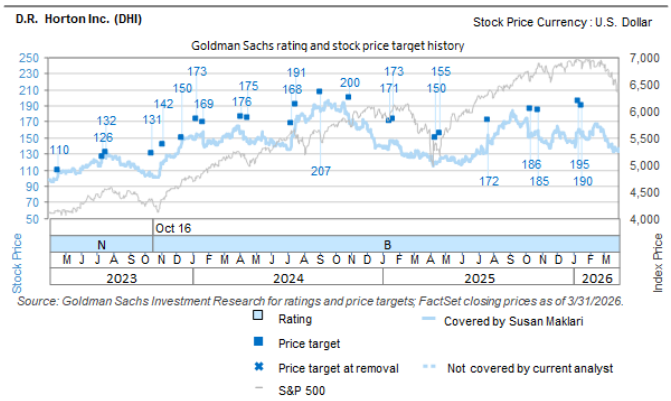
	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	60%	45%

As of April 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,074 equity securities. Goldman Sachs assigns stocks as

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

D.R. Horton Inc. (DHI)

Date of report	Target price ($)	Closing price ($)
10-Apr-26	172.00	142.64
20-Jan-26	190.00	153.19
13-Jan-26	195.00	160.85
29-Oct-25	185.00	148.29
13-Oct-25	186.00	152.59
23-Jul-25	172.00	148.17
21-Apr-25	155.00	120.76
14-Apr-25	150.00	121.02
21-Jan-25	173.00	143.70
14-Jan-25	171.00	143.16
29-Oct-24	200.00	167.32
03-Sep-24	207.00	184.49
18-Jul-24	191.00	173.42
10-Jul-24	168.00	139.59
18-Apr-24	175.00	145.88
05-Apr-24	176.00	158.52
23-Jan-24	169.00	143.13
10-Jan-24	173.00	154.52
14-Dec-23	150.00	153.13
07-Nov-23	142.00	121.17
16-Oct-23	131.00	104.52
20-Jul-23	132.00	125.42
13-Jul-23	126.00	126.46

Price targets shown in table(s) are unadjusted for corporate actions.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Distribution of ratings: See the distribution of ratings disclosure above. **Price chart:** See the price chart, with changes of ratings and price targets in prior periods, above, or, if electronic format or if with respect to multiple companies which are the subject of this report, on the Goldman Sachs website at https://www.gs.com/research/hedge.html.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at https://www.gs.com/worldwide/brazil/area/gir/index.html. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details can be found at: https://www.goldmansachs.com/worldwide/india/documents/Grievance-Redressal-and-Escalation-Matrix.pdf, and a copy of the annual audit compliance report can be found at this link: https://publishing.gs.com/content/site/india-annual-compliance-report.html. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at https://www.gs.com/disclosures/europeanpolicy.html which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at https://www.gs.com/research/hedge.html.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (https://www.sipc.org).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at https://www.theocc.com/about/publications/character-risks.jsp and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to https://research.gs.com.

Disclosure information is also available at https://www.gs.com/research/hedge.html or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.

noel@fullertonlp.com Noel Smith 05/01/26 04:19:45 PM Fullerton Capital Partners Lp

Citizens

D.R. Horton, Inc. (DHI)

F2Q26 Recap: Demand Trends Appear More Robust than Expected, Raising EPS Estimates

MARKET PERFORM
Price: $153.34
Price Target: N/A

James McCanless III
James.McCanlessIII@citizensbank.com
(615) 474-9325

Aaron Hecht
Aaron.Hecht@citizensbank.com
(415) 835-3963

INVESTMENT HIGHLIGHTS

- **Correction.** In our DHI flash note this morning (4/21), we incorrectly identified David Auld as the current CEO of D.R. Horton. Mr. Auld is a former CEO of DHI and is now the executive chairman of DHI. Paul Romanowski is the current CEO of DHI. We apologize to both gentlemen for the error.
- **Current conditions.** DHI indicated March's sales patterns were in line with normal seasonality with April continuing that trend. We were encouraged that some of DHI's buyers are now willing to buy in-process homes instead of only finished homes. We think that implies a higher level of consumer confidence in the entry-level/first move-up cohort (DHI's primary customer base) that we did not expect with the macro and geopolitical noise during the quarter. DHI did not break out the percentage of total 2Q closings or orders that were in process, but if this theme is echoed by DHI's entry-level competitors in their upcoming EPS calls, we see this as an incremental tailwind for the homebuilding sector. Lastly, DHI indicated industry inventories of new homes have declined, but the company is planning to start less homes in F3Q26 versus F2Q26.
- **F3Q26 gross margin guidance is better than we expected.** DHI's guidance for a F3Q26 gross margin range of 19.7% to 20.2% is ahead of our prior 18.5% estimate for 3Q and also ahead of the FactSet F3Q26 gross margin estimate of 19.0%. Management indicated on the F2Q26 call that homes have started to sell earlier in the construction process. Selling the homes earlier in construction allows buyers to add some upgrades and reduces the need for extra incentives that a finished spec might receive. DHI also remarked that favorable construction cost trends benefited F2Q26's gross margin and the F3Q26 gross margin outlook.
- **Updated EPS estimates.** Per the F2Q26 call commentary, DHI lowered the top end of the FY26 closing guidance because the company missed its internal closing expectations for F1H26 and wanted to be more conservative regarding the FY26 outlook. On the revenue front, DHI lowered the top end of the FY26 guidance because average prices in F2Q26 were below company expectations. Management was also cautious about average prices in F2H26 because industry incentives (including price cuts) remain elevated. We previously estimated an average closing price of $366k for FY26 and FY27, and we lowered that forecast to $362k for FY26 & FY27 based on DHI's price commentary. We raised our FY26E/FY27E EPS to $10.50/$11.15 from $9.25/$9.75. Our updated FY26 EPS estimate assumes DHI's gross margin trends up through the balance of FY26 and also reflects the better-than-expected F2Q26 results. For FY27, we continue to expect a y/y decline in gross margin to 19.8% due to the lingering industry inventories and also because DHI's largest competitor has an average incentive level more than 400bp higher than DHI's 10% incentive rate in F2Q26. Our outlook for the next six quarters assumes a steady state from an affordability perspective as the conditions in F2Q26. However, if mortgage rates and/or consumer confidence show some improvement through the remainder of 2026, our current forecasts may prove conservative.
- **Valuation.** DHI trades at a 1.4x price/FY26E TBV multiple versus the group average of 1.1x, and at current levels we view the risk/reward trade-off as balanced for DHI.

MARKET DATA

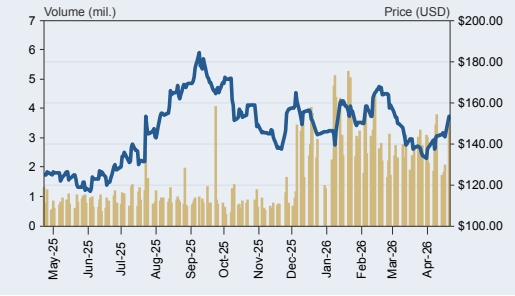
Price:	$153.34
52-Week Range:	$114.17 - $184.54
Shares Out. (M):	289.0
Market Cap ($M):	$44,315.3

Source: Company reports and Citizens JMP Securities, LLC

FY SEP		2025A	2026E	2027E
Revenue ($M)	1Q	$7,613.0	$6,886.9A	$6,808.2
	2Q	$7,734.0	$7,558.1A	$8,093.4
	3Q	$9,225.7	$9,161.5	$9,386.1
	4Q	$9,677.8	$10,277.3	$11,251.4
	FY	**$34,250.5**	**$33,883.7**	**$35,539.1**
EPS	1Q	$2.61	$2.03A	$1.69
	2Q	$2.58	$2.24A	$2.49
	3Q	$3.36	$2.87	$3.10
	4Q	$3.04	$3.39	$3.92
	FY	**$11.57**	**$10.50**	**$11.15**
	P/E	13.3x	14.6x	13.8x
Previous	FY	NC	$9.25	$9.75

Source: Company reports and Citizens JMP Securities, LLC

STOCK PRICE PERFORMANCE



FOR DISCLOSURE AND FOOTNOTE INFORMATION, REFER TO THE FACTS AND DISCLOSURES SECTION.
This report should be read in conjunction with important disclosure information, including an attestation under Regulation Analyst certification.

- **DHI is clearing the spec decks, but lingering new home inventory across the industry keeps us cautious.** Over the last six quarters, DHI has lowered the unsold home count by an average of 12% y/y (Figure 2, page 4). That decline narrowed to -3% y/y in F2Q26, but we think that is due to DHI's community count growing by a low double-digit percentage y/y in 2Q. We believe DHI and most of the builders we cover are working to reduce unsold specs and trim spec starts in general. However, the most recent data from the U.S. Census on new home inventories as of January showed completed specs near the highs of the cycle and total new homes under construction at elevated levels versus 2019. The Census has announced the New Home Sales (NHS) data for February and March will be released on 5/5/26. The NHS report contains both the unit sale numbers and the inventory data reflected in Figure 3 on page 4. According to the Census website, the NHS report and housing starts will be back on a regular monthly cadence starting in June 2026 which will provide more timely insights into current inventory trends. Assuming DHI can continue effectively managing the WIP and incentive levels, we raised our FY26E/FY27E homebuilding gross margins to 20.3%/19.8%, and our F3Q26 forecast moves to 20.1% from 18.5%.

D.R. HORTON FINANCIAL GUIDANCE AND F2Q26 RESULTS GRID

DHI provided F3Q26 guidance in the F2Q26 EPS call dated 04/21/26

- Consolidated revenues in the range of $8.8 to $9.3 billion
- Homes closed in the range of 23,500 to 24,000 homes
- Home sales gross margin of 19.7% to 20.2%
- 24.5% tax rate
- Consolidated pretax margin of 12.2% to 12.7%

DHI updated the FY26 guidance in the F2Q26 EPS release dated 4/21/2026

- Consolidated revenue range lowered to $33.5 to $34.5 billion from $33.5 billion to $35.0 billion
- Homes closed by homebuilding operations of 86.0k to 87.5k from 86.0k to 88.0k
- Income tax rate of approximately 24.5%, unchanged
- Consolidated cash flow provided by operations of at least $3.0 billion, unchanged
- Share repurchases of approximately $2.5 billion, unchanged
- Dividend payments of approximately $500 million, unchanged

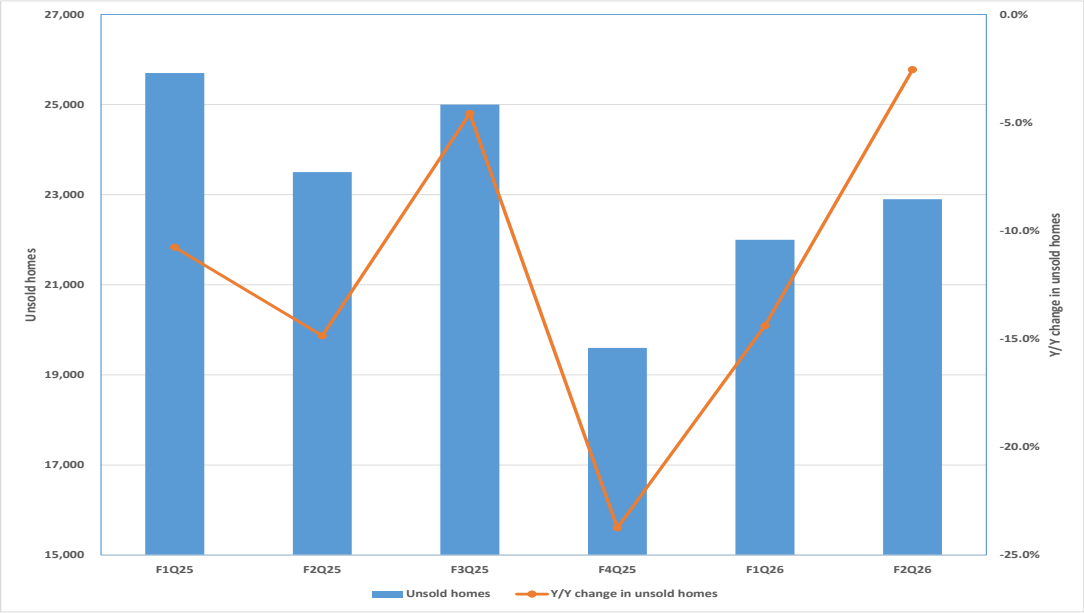
Source: Company filings

FIGURE 1. F2Q26 Results

	F2Q25A	F2Q26A	Citizens F2Q26E	Factset Consensus F2Q26E	Actual vs Last Year	Citizens vs Last Year	Factset Consensus vs Last Year
Total Revenues (in millions)	7,700.0	7,558.1	7,425.7	7,574.0	-1.8%	-3.6%	-1.6%
Average Selling Price ($)	372,531	361,567	365,904	361,040	-2.9%	-1.8%	-3.1%
EPS ($)	2.58	2.24	2.10	2.14	-13.2%	-18.6%	-17.1%
HB Gross Margin, net impairments	21.8%	20.1%	19.0%	19.2%	NM	NM	NM
HB SG&A Margin	8.9%	9.2%	9.2%	N/A	NM	NM	NM
Closings (units)	19,276	19,486	19,339	19,984	1.1%	0.3%	3.7%
Orders (units)	22,437	24,992	21,764	24,082	11.4%	-3.0%	7.3%
Backlog (units)	14,164	16,882	13,801	15,406	19.2%	-2.6%	8.8%
Average Backlog Price ($)	386,663	380,387	380,863	377,190	-1.6%	-1.5%	N/A
Rental Revenues (in millions)	236.6	211.8	118.3	151.0	N/A	N/A	N/A
Rental pretax profit (in millions)	22.8	12.3	3.0	89.0	-46.1%	N/A	N/A

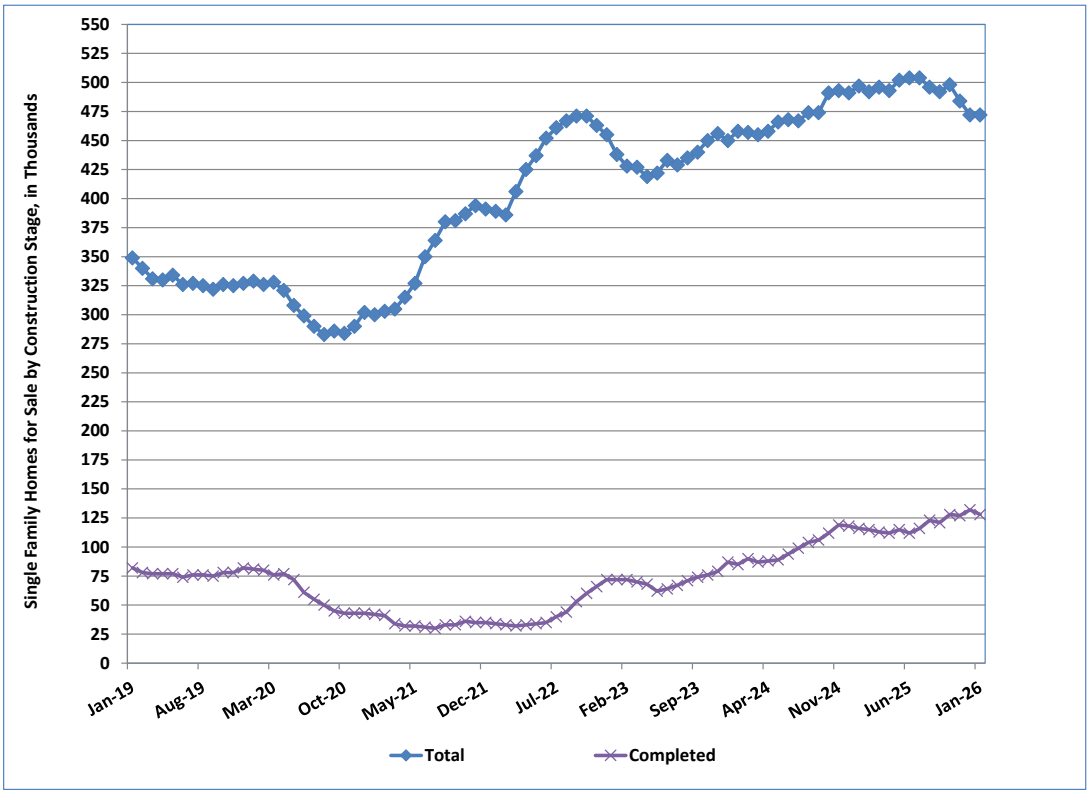
Source: Citizens estimates, FactSet, Company filings

FIGURE 2. DHI's Unsold Home Counts Have Declined y/y for the Last Six Quarters



Source: Citizens JMP Securities, LLC, Company Reports

FIGURE 3. Completed Spec Homes Were Near the Highs of the Cycle as of January 2026



Source: Citizens JMP Securities, LLC, Company Reports

FIGURE 4. DHI Assumptions

D.R. Horton (DHI), FY ends in September											
Assumptions	**FY25**	**F1Q26**	**F2Q26**	**F3Q26E**	**F4Q26E**	**FY26E**	**F1Q27E**	**F2Q27E**	**F3Q27E**	**F4Q27E**	**FY27E**
Closings	84,863	17,818	19,486	23,804	25,747	86,854	17,919	21,101	24,329	28,132	91,480
% chg.	(5.4)	(6.5)	1.1	2.8	10.2	2.3	0.6	8.3	2.2	9.3	5.3
ASP ($)	370,384	365,512	361,567	361,368	360,450	361,991	361,182	361,434	362,211	362,917	362,047
% chg.	(2.0)	(2.5)	(2.9)	(2.2)	(1.4)	(2.3)	(1.2)	(0.0)	0.2	0.7	0.0
Orders	83,423	18,300	24,992	23,532	21,082	87,906	21,045	25,492	24,003	22,136	92,676
Order growth rate	-3.6%	2.6%	11.4%	2.0%	5.0%	5.4%	15.0%	2.0%	2.0%	5.0%	5.4%
Backlogs	10,785	11,376	16,882	16,611	11,946	11,946	15,072	19,463	19,137	13,141	13,141
Backlog growth	-11.5%	3.4%	19.2%	18.0%	10.8%	10.8%	32.5%	15.3%	15.2%	10.0%	10.0%
Backlog Value ($ mil.)	4,120.1	4,313.5	6,421.7	6,236.8	4,518.0	4,518.0	5,686.4	7,366.5	7,257.3	5,019.8	5,019.8
Backlog Average price ($)	382,021	379,175	380,387	375,468	378,201	378,201	377,280	378,485	379,223	381,983	381,983
Backlog price growth	-2.5%	-3.0%	-1.6%	-1.0%	-1.0%	-1.0%	-0.5%	-0.5%	1.0%	1.0%	1.0%
Absorption rate	696.7%	165.2%	180.7%	141.0%	155.0%	805.3%	150.0%	140.0%	125.0%	147.0%	765.8%
Homebuilding GM assumption	21.5%	20.4%	20.1%	20.1%	20.5%	20.3%	18.0%	20.0%	20.2%	20.5%	19.8%
Homebuilding SG&A	8.5%	9.7%	9.2%	8.7%	8.0%	8.9%	9.7%	9.2%	8.7%	8.0%	8.8%
Homebuilding operating income %	15.1%	12.3%	12.3%	12.6%	13.6%	12.8%	9.7%	11.9%	12.7%	13.7%	12.3%
Consolidated pretax operating margin	13.8%	11.6%	11.5%	11.9%	12.3%	11.9%	9.2%	11.3%	12.0%	12.5%	11.4%
Tax rate	23.6%	24.6%	24.1%	24.0%	24.0%	24.2%	24.0%	24.0%	24.0%	24.0%	24.0%

Source: Citizens estimates, Company filings

FIGURE 5. DHI Income Statement

D.R. Horton (DHI), FY ends in September Income Statement, Amts in Millions of $ except per share data											
HOUSING	**FY25**	**F1Q26**	**F2Q26**	**F3Q26E**	**F4Q26E**	**FY26E**	**F1Q27E**	**F2Q27E**	**F3Q27E**	**F4Q27E**	**FY27E**
Home sales	31,431.9	6,512.7	7,045.5	8,601.9	9,280.4	31,440.5	6,472.0	7,626.6	8,812.1	10,209.5	33,120.2
Cost of goods sold	24,664.8	5,181.9	5,628.7	6,872.9	7,377.9	25,061.4	5,307.0	6,101.2	7,032.1	8,116.6	26,556.9
Homebuilding gross profit	6,767.1	1,330.8	1,416.8	1,729.0	1,902.5	6,379.1	1,165.0	1,525.3	1,780.1	2,093.0	6,563.3
Land/lot revenues, includes FOR	336.8	80.1	108.0	40.0	40.0	268.1	40.0	40.0	40.0	40.0	160.0
Cost of goods sold	185.0	59.1	75.0	15.0	15.0	164.1	15.0	15.0	15.0	15.0	60.0
Land/lot gross profit	151.8	21.0	33.0	25.0	25.0	104.0	25.0	25.0	25.0	25.0	100.0
SG&A expenses	2,660.3	632.5	686.8	748.4	742.4	2,810.1	628.5	702.4	766.7	816.8	2,914.4
Other expense/(income)	0.0	11.2	38.6	0.0	0.0	49.8	0.0	0.0	0.0	0.0	0.0
Inventory impairments	11.8	0.0	30.0	0.0	0.0	30.0	0.0	0.0	0.0	0.0	0.0
Total housing operating profit	4,246.8	708.1	694.4	1,005.6	1,185.1	3,593.2	561.4	847.9	1,038.4	1,301.2	3,748.9
RENTAL PROPERTIES											
Rental property sales	1,640.5	109.5	211.8	304.6	724.9	1,350.7	112.8	218.2	313.7	746.6	1,391.2
Rental property COGS	1,333.5	92.9	182.9	251.3	598.0	1,125.1	93.0	180.0	258.8	615.9	1,147.8
Rental property SG&A	245.6	46.9	52.3	45.7	108.7	253.6	16.9	32.7	47.1	112.0	208.7
Rental property, other	(85.1)	(30.5)	(35.7)	9.0	21.0	(36.2)	0.0	0.0	0.0	0.0	0.0
Rental operating profit	146.5	0.2	12.3	(1.4)	(2.9)	8.2	2.8	5.5	7.8	18.7	34.8
FINANCIAL SERVICES											
Revenues	841.3	184.6	192.8	215.0	232.0	824.5	183.4	208.7	220.3	255.2	867.7
SG&A	651.5	145.0	159.8	161.4	176.4	642.7	144.1	173.0	165.4	194.1	676.5
Operating income	189.8	39.6	33.0	53.6	55.6	181.8	39.4	35.7	54.9	61.1	191.2
Other expense/(income)	(68.4)	(18.4)	(18.7)	(16.0)	(16.0)	(69.1)	(8.0)	(8.0)	(8.0)	(8.0)	(32.0)
Pretax income, financing	258.2	58.0	51.7	69.6	71.6	250.9	47.4	43.7	62.9	69.1	223.2
Conolidated operating income	4,651.5	766.3	758.4	1,073.8	1,253.8	3,852.3	611.6	897.1	1,109.2	1,389.0	4,006.8
Consolidated sales	34,250.5	6,886.9	7,558.1	9,161.5	10,277.3	33,883.7	6,808.2	8,093.4	9,386.1	11,251.4	35,539.1
Other expense/(income)	(88.4)	(31.8)	(109.0)	(12.0)	(12.0)	(164.8)	(14.0)	(14.0)	(14.0)	(14.0)	(56.0)
Pretax income, total	4,739.9	798.1	867.4	1,085.8	1,265.8	4,017.1	625.6	911.1	1,123.2	1,403.0	4,062.8
Income tax	1,119.0	196.7	209.4	260.6	303.8	970.5	150.1	218.7	269.6	336.7	975.1
Net income/(loss) from cont'g ops	3,620.9	601.4	658.0	825.2	962.0	3,046.6	475.4	692.4	853.6	1,066.3	3,087.7
Net income/(loss) to non-controlling interest, net of tax	35.7	6.6	10.1	2.9	2.9	22.6	2.9	2.9	2.9	2.9	11.8
Net income/(loss) available to DHI	3,585.2	594.8	647.9	822.3	959.0	3,024.0	472.5	689.5	850.7	1,063.3	3,076.0
PER-SHARE DATA											
EPS, reported	11.57	2.03	2.24	2.87	3.39	10.50	1.69	2.49	3.10	3.92	11.15
Avg. diluted shares	309.9	293.3	289.0	286.1	283.2	287.9	280.3	277.4	274.5	271.6	276.0
Avg. basic shares	296.2	293.3	287.9	285.0	282.1	282.1	279.2	276.3	273.4	270.5	270.5
Dividend	1.60	0.45	0.45	0.45	0.45	1.80	0.45	0.45	0.45	0.45	1.80
TBV/basic share	95.11	96.78	99.53	102.10	105.21	105.21	106.65	108.91	111.81	115.57	115.57

Source: Citizens estimates, company filings

FIGURE 6. DHI Balance Sheet

D.R. Horton (DHI), FY ends in September Balance sheet, amts in millions of $	FY25	F1Q26	F2Q26	F3Q26E	F4Q26E	FY26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E	FY27E
Homebuilding assets											
Cash & equivalents	3,033.3	2,506.3	1,974.2	7,332.0	7,881.5	7,881.5	7,581.1	8,543.3	8,665.0	9,812.1	9,812.1
Total inventories	25,287.3	25,606.0	26,303.8	26,206.5	26,113.0	26,113.0	26,023.3	25,937.2	25,854.7	25,775.7	25,775.7
Rental properties	2,703.3	2,884.0	3,000.5	3,000.5	3,000.5	3,000.5	3,000.5	3,000.5	3,000.5	3,000.5	3,000.5
WIP	7,648.5	7,270.7	8,551.7	8,380.7	8,213.1	8,213.1	8,048.8	7,887.8	7,730.1	7,575.5	7,575.5
Land-developed & in process	14,935.5	15,451.3	14,751.6	14,825.4	14,899.5	14,899.5	14,974.0	15,048.9	15,124.1	15,199.7	15,199.7
Raw land	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Current assets	28,320.6	28,112.3	28,278.0	33,538.5	33,994.6	33,994.6	33,604.4	34,480.5	34,519.7	35,587.8	35,587.8
PP&E	578.9	582.0	593.1	593.1	593.1	593.1	593.1	593.1	593.1	593.1	593.1
Deferred income taxes/ Other	3,841.7	3,826.3	3,851.5	3,851.5	3,851.5	3,851.5	3,851.5	3,851.5	3,851.5	3,851.5	3,851.5
Earnest money deposits	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Goodwill	163.5	163.5	163.5	163.5	163.5	163.5	163.5	163.5	163.5	163.5	163.5
Joint venture holdings	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Long-term assets	4,584.1	4,571.8	4,608.1	4,608.1	4,608.1	4,608.1	4,608.1	4,608.1	4,608.1	4,608.1	4,608.1
Financial services											
Cash & equivalents	0.0	0.0	0.0	18.1	7.2	7.2	0.0	0.0	16.9	9.9	9.9
Restricted cash	0.0	46.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Mortgage loans held for sale	2,566.5	1,908.8	2,680.8	2,680.8	2,680.8	2,680.8	2,680.8	2,680.8	2,680.8	2,680.8	2,680.8
Other assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financial svcs total	2,566.5	1,955.5	2,680.8	2,698.9	2,688.0	2,688.0	2,680.8	2,680.8	2,697.7	2,690.7	2,690.7
Total assets	35,471.2	34,639.6	35,566.9	40,845.4	41,290.7	41,290.7	40,893.3	41,769.4	41,825.5	42,886.6	42,886.6
Liabilities & Equity											
Homebuilding											
A/P/ Other	1,221.9	1,026.0	1,323.5	1,426.4	1,318.7	1,318.7	1,050.8	1,434.6	1,459.5	1,450.7	1,450.7
Acc'd expenses	3,541.6	3,510.9	3,480.6	3,251.2	3,822.1	3,822.1	3,595.7	3,772.8	3,326.5	4,204.7	4,204.7
Notes payable	5,965.5	5,547.3	6,563.8	6,563.8	5,963.8	5,963.8	5,963.8	5,963.8	5,963.8	5,463.8	5,463.8
Current liabilities	10,729.0	10,084.2	11,367.9	11,241.4	11,104.5	11,104.5	10,610.3	11,171.2	10,749.7	11,119.2	11,119.2
Financial services											
A/P	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Notes payable	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total F/S liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Minority interest liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total liabilities	10,729.0	10,084.2	11,367.9	11,241.4	11,104.5	11,104.5	10,610.3	11,171.2	10,749.7	11,119.2	11,119.2
Shareholders' equity ($ mil.)	24,742.2	24,555.4	24,199.0	29,604.1	30,186.1	30,186.1	30,283.0	30,598.1	31,075.8	31,767.4	31,767.4
Book value per share ($)	95.66	97.34	100.09	102.67	105.79	105.79	107.24	109.50	112.41	116.17	116.17
Total liabilities and equity	35,471.2	34,639.6	35,566.9	40,845.4	41,290.7	41,290.7	40,893.3	41,769.4	41,825.5	42,886.6	42,886.6

Source: Citizens estimates, company filings

FIGURE 7. Homebuilder Comp Sheet, Coverage Names In Bold

Ticker	Closing price as of 04/20/26 ($)	Price target ($)	Rating	Trailing net debt/net cap, %	Mkt Cap, millions of $	EPS FY26E ($)	PE FY26E (x)	EPS FY27E ($)	PE FY27E (x)	TBV FY26E ($)	P/TBV FY26E (x)	TBV FY27E ($)	P/TBV FY27E (x)
BZH	22.80	NR	NR	N/A	672.8	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
CCS	**63.32**	**92**	**MO**	**33.1**	**1,837.9**	**4.18**	**15.1**	**5.03**	**12.6**	**91.63**	**0.7**	**96.74**	**0.7**
DFH	**15.72**	**N/A**	**MP**	**46.1**	**1,443.2**	**1.38**	**11.4**	**1.53**	**10.3**	**13.04**	**1.2**	**14.71**	**1.1**
DHI	**153.34**	**N/A**	**MP**	**10.6**	**44,423.1**	**10.50**	**14.6**	**11.15**	**13.8**	**105.21**	**1.5**	**115.57**	**1.3**
GRBK	**70.55**	**N/A**	**MP**	**8.2**	**3,044.7**	**5.33**	**13.2**	**6.08**	**11.6**	**46.92**	**1.5**	**52.80**	**1.3**
HOV	**120.43**	**74**	**MU**	**41.4**	**715.1**	**(0.99)**	**(121.2)**	**(3.72)**	**(32.4)**	**66.63**	**1.8**	**59.88**	**2.0**
KBH	**55.22**	**77**	**MO**	**27.3**	**3,459.4**	**3.04**	**18.2**	**3.87**	**14.3**	**62.61**	**0.9**	**66.30**	**0.8**
LEN	**94.12**	**N/A**	**MP**	**8.2**	**23,181.6**	**6.44**	**14.6**	**7.33**	**12.8**	**81.75**	**1.2**	**90.44**	**1.0**
LGIH	**46.15**	**93**	**MO**	**43.2**	**1,067.6**	**2.41**	**19.2**	**2.77**	**16.7**	**92.27**	**0.5**	**95.05**	**0.5**
MHO	**127.36**	**165**	**MO**	**8.2**	**3,281.8**	**12.36**	**10.3**	**15.61**	**8.2**	**130.63**	**1.0**	**145.06**	**0.9**
MTH	**69.43**	**90**	**MO**	**16.9**	**4,631.1**	**3.98**	**17.4**	**4.28**	**16.2**	**78.77**	**0.9**	**82.85**	**0.8**
PHM	**127.40**	**145**	**MO**	**15.6**	**24,408.4**	**9.19**	**13.9**	**10.43**	**12.2**	**70.40**	**1.8**	**75.72**	**1.7**
SDHC	**14.84**	**N/A**	**MP**	**9.0**	**134.3**	**0.37**	**40.5**	**0.44**	**33.7**	**8.35**	**1.8**	**8.98**	**1.7**
TMHC	**61.87**	**95**	**MO**	**17.7**	**5,960.2**	**5.05**	**12.3**	**6.01**	**10.3**	**79.78**	**0.8**	**90.40**	**0.7**
TOL	**147.29**	**175**	**MO**	**15.3**	**13,949.4**	**12.83**	**11.5**	**14.00**	**10.5**	**102.64**	**1.4**	**123.25**	**1.2**
TPH	**46.85**	**N/A**	**MP**	**6.0**	**3,988.6**	**2.19**	**21.4**	**2.59**	**18.1**	**38.75**	**1.2**	**41.66**	**1.1**
Averages				**20.5**			**16.7**		**14.4**		**1.2**		**1.1**

Source: Citizens estimates, FactSet, Company filings

COMPANY DESCRIPTION

Per DHI's website on 1/23/26, D.R. Horton, Inc., America's Builder, has been the largest homebuilder by volume in the United States since 2002. Founded in 1978 in Fort Worth, Texas, D.R. Horton has operations in 126 markets in 36 states across the United States.

INVESTMENT RISKS

- General economic risks include recession, job loss, or other negative macroeconomic events.
- We think an upside risk to our outlook is any improvement in consumer confidence. We believe 2025 was the first year since the Great Financial Crisis to have elevated consumer concerns about the economy and personal financial situations. 2026 has shown similar uneven consumer confidence trends which may be a risk to our financial estimates.
- Mortgage standards tighten above current levels. We believe the relatively tight standards for mortgage qualifications may be a demand headwind for DHI and for the rest of the industry.

Facts and Disclosures

Analyst Certification:

The research analyst(s) who prepared this report does/do hereby certify that the views presented in this report are in accordance with my/our personal views on the securities and issuers discussed in this report. As mandated by SEC Regulation AC no part of my/our compensation was, is or will be directly or indirectly related to the specific views or recommendations expressed herein. This certification is made under the obligations set forth in SEC Regulation AC. Any other person or entity may not use it for any other purpose. This certification is made based on my/our analysis on the date of this report's publication. I/We assume no obligation to update this certification to reflect any facts, circumstances, or events that may subsequently come to my/our attention. Signed James McCanless III and Aaron Hecht

Disclosures:

Citizens JMP Securities, LLC currently makes a market in the security of D.R. Horton, Inc.

Citizens JMP Securities, LLC, was manager or co-manager of a public offering of securities for D.R. Horton, Inc. (DHI) in the past 12 months and received compensation for doing so.

Citizens JMP Securities, LLC. expects to receive OR intends to seek compensation for investment banking services from D.R. Horton, Inc. in the next three months.

Citizens JMP Securities, LLC, or its affiliates have received compensation from D.R. Horton, Inc. for products or services other than investment banking services in the previous 12 months.

For disclaimer details, please click on link. Citizens JMP Securities, LLC Disclaimer

For applicable disclosures on companies mentioned in this report, please refer to the Citizens JMP Securities, LLC Facts and Disclosures page in the report link above.

Citizens JMP Securities, LLC Investment Opinion Definitions:

Market Outperform (MO): Citizens JMP Securities, LLC expects the stock price to outperform the Russell 3000® Index over the next 12 months.

Market Perform (MP): Citizens JMP Securities, LLC expects the stock price to perform in line with the Russell 3000® Index over the next 12 months.

Market Underperform (MU): Citizens JMP Securities, LLC expects the stock price to underperform the Russell 3000® Index over the next 12 months.

Research Ratings and Investment Banking Services: (as of April 21, 2026)

Citizens Capital Markets & Advisory Ratings	Regulatory Equivalent	# Co's Under Coverage	*% of Total*	Regulatory Equivalent	# Co's Under Coverage	*% of Total*	# Co's Receiving IB Services in Past 12 Months	*% of Co's With This Rating*
MARKET OUTPERFORM	Buy	333	*68.94%*	Buy	333	*68.94%*	68	*20.42%*
MARKET PERFORM	Hold	144	*29.81%*	Hold	144	*29.81%*	22	*15.28%*
MARKET UNDERPERFORM	Sell	4	*0.83%*	Sell	4	*0.83%*	0	*0%*
COVERAGE IN TRANSITION		1	*0.21%*		1	*0.21%*	0	*0%*
RATING SUSPENDED		0	*0.00%*		0	*0.00%*	0	*0%*
TOTAL:		483	*100%*		483	*100%*	90	*18.63%*

Stock Price Chart of Rating and Target Price Changes:

Note: First annotation denotes initiation of coverage or 3 years, whichever is shorter. If no target price is listed, then the target price is N/A. In accordance with FINRA Rule 2241, the chart(s) below reflect(s) price range and any changes to the rating or price target as of the end of the most recent calendar quarter. The action reflected in this note is not annotated in the stock price chart. Source: Citizens JMP Securities, LLC.

Disclaimer:

Citizens compensates research analysts, like other Citizens employees, based on a number of factors including profitability, which includes revenues from institutional sales, trading, and investment banking departments as well as on the quality of the services and activities performed that are intended to benefit our institutional clients. Citizens research is intended for institutional investors only. These data have been prepared by Citizens for informational purposes only and are based on information available to the public from sources that we believe to be reliable, but we do not guarantee their accuracy or completeness. Any opinions and projections expressed herein reflect our research analyst's judgment at this date and are subject to change without notice. Past performance is not indicative of future results. These data are neither intended nor should they be considered as an offer or solicitation for the purchase or sale of any security or other financial product. Citizens, its affiliates, and their respective partners, directors, officers, and associates may have a long or short position in, may act as a market maker for, or may purchase or sell a position in the companies or securities referred to herein. Citizens and its affiliates may be performing, have performed, or seek to perform investment banking, advisory, commercial banking or other services and may have acted as manager or co-manager for a public offering of securities for any company mentioned herein. The reader should assume that Citizens will solicit business from the company covered in this report. Citizens does not provide individually tailored investment advice. Any opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. The recipient of this communication must make its own independent decisions regarding any securities or financial instruments mentioned herein. Members of our Sales and Trading Department provide oral and/or written market opinions and trading strategies to our clients that reflect their personal opinions about stocks that are the subject of our research reports. Our research analysts discuss trading strategies with clients that sometimes reflect short-term expectations for the price of the securities that are the subject of research reports. These trading strategies are distinct from the analysts' fundamental rating for the stock, which is based upon the analysts' view compared to other stocks under coverage for the relevant time period.

Jeffrey H. Spurr
Director of Research
(415) 835-3903

RESEARCH PROFESSIONALS

FINANCIAL SERVICES

Private Capital

Alternative Asset Managers
Brian McKenna (212) 906-3545
Devin Ryan (212) 906-3578
Nate Saur (212) 209-6936

Commercial Finance (BDCs)
Brian McKenna (212) 906-3545
Devin Ryan (212) 906-3578
Nate Saur (212) 209-6936

Consumer Finance
David M. Scharf (415) 835-8942
Zachary Oster (212) 906-3507

Investment Banks & Brokers
Devin Ryan (212) 906-3578
Brian McKenna (212) 906-3545
Noah Katz (212) 906-3577
Neo Eloff (212) 209-6910

Insurance
Matthew J. Carletti (312) 768-1784
Karol Chmiel, CFA (312) 768-1786
David Samar (312) 768-1785

Mortgage & Real Estate Finance

Mortgage Operating Companies
Trevor Cranston, CFA (415) 869-4431
Mikhail Goberman (212) 906-3543

Commercial R.E. Finance
Chris Muller, CFA (212) 906-3559

Financial Technology

Consumer FinTech
Devin Ryan (212) 906-3578
Brian McKenna (212) 906-3545
Noah Katz (212) 906-3577
Neo Eloff (212) 209-6910
David Scharf (415) 835-8942
Zachary Oster (212) 906-3507

Enterprise FinTech
Devin Ryan (212) 906-3578
Patrick Walravens (415) 835-8943

Digital Assets
Devin Ryan (212) 906-3578

InsurTech
Matthew J. Carletti (312) 768-1784
Andrew Boone, CFA (415) 835-3902

PaymenTech
David M. Scharf (415) 835-8942
Andrew Boone, CFA (415) 835-3902
Constantine Davides (617) 235-8505

DIGITAL INFRASTRUCTURE

Greg Miller (212) 699-2917
Kassandra Fieber (212) 906-3598

MEDIA & ENTERTAINMENT

Matthew Condon, CFA (617) 235-8502
Carter Parlette (407) 790-0308

HEALTHCARE

Biotechnology & Biopharma
Reni J. Benjamin, PhD (212) 906-3529
Patrick Dummer (212) 906-3504
Jason N. Butler, PhD (212) 906-3505
Geraldine Ezeka (212) 801-0930
Silvan Turkcan, PhD (212) 906-3546
Josh Werman (212) 906-3511
Jonathan Wolleben (312) 768-1788
Catherine Okoukoni, MD, PhD (646) 797-5637

Healthcare Services
Constantine Davides, CFA (617) 235-8505

Medical Devices & Supplies
David Turkaly (212) 906-3563
Daniel W. Stauder, CFA (212) 906-3535
George Nicholson (212) 906-3519

REAL ESTATE

Equity REITs/R.E Services
Aaron Hecht (415) 835-3963
Linda Fu (415) 869-4411
Harry Kaplan (415) 835-8903
Mitchell Germain (212) 906-3532
Christine Chan (646) 797-5636

Homebuilding
James C. McCanless III (615) 474-9325

Land Development
Aaron Hecht (415) 835-3963

TECHNOLOGY

Cybersecurity & IT Infrastructure
Rustam Kanga (415) 835-3914
Trevor Walsh (415) 835-3934
Ethan Frost (212) 906-3553

Internet
Andrew Boone, CFA (415) 835-3902
Brianna Diaz (212) 906-3534
Timothy Juang (415) 835-3912
Matthew Condon, CFA (617) 235-8502
Carter Parlette (407) 790-0308

Software
Patrick Walravens (415) 835-8943
Aaron Kimson, CFA (415) 835-8944
Austin Cole (415) 835-8930
Nicholas Lee (415) 869-4453
Kincaid LaCorte (415) 835-8904

CONSUMER

Gaming, Online Gaming & Gaming Technology
Jordan Bender (212) 906-3526
Isabelle Slavin (646) 797-5635

INDUSTRIALS

Aerospace & Defense
Trevor Walsh (415) 835-3934

Building Products
James C. McCanless III (615) 474-9325

Conglomerates
Brian McKenna (212) 906-3545

ADDITIONAL CONTACTS

James O'Day
Director of Equities
(617) 235-8506

Brendan Byrne
Director of Institutional Sales
(617) 235-8507

101 California Street, Suite 1700
San Francisco, CA 94111
Citizens Capital Markets and Advisory